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Contract Law

Chapter Learning Objectives

By the end of this chapter, you should be able to:

1. Explain the historical sources of contract law, including both common law and statutory sources;
2. Identify the elements of a valid and enforceable contract;
3. Define offer, acceptance, and consideration under contract law;
4. Identify defenses to contract performance, including lack of capacity, legal limits on contract performances, mistake;
5. Distinguish between types of contract breach and the consequences of breaching a contract;
6. Distinguish between the various legal and equitable remedies available to a non-breaching party; and

7. Apply the basic requirements to an enforceable agreement to a factual situation involving an agreement.

Introduction to Contracts

A contract is a legally enforceable promise or set of promises. The Restatement (Second) of Contracts defines it as "a promise or a set of promises for the breach of which the law gives a remedy, or the performance of which the law in some way recognizes as a duty." The UCC similarly defines contracts as creating legal obligations.



Judge Richard A. Posner identifies three economic functions of contract law:

1. Maintains incentives for efficient exchanges
2. Reduces transaction costs by providing established rules
3. Alerts parties to potential problems from past transactions

The Restatement (Second) of Contracts, Section 1 says, "A contract is a promise or a set of promises for the breach of which the law gives a remedy, or the performance of which the law in some way recognizes as a duty." Restat 2d of Contracts, § 1. Similarly, the Uniform Commercial Code (UCC) says, "Contract' means the total legal obligation which results from the parties' agreement as affected by this Act and any other applicable rules of law." Md. Code Ann., Com. Law § 1-201(11) (LexisNexis 2021). As operational definitions, these two are circular; in effect, a contract is defined as an agreement that the law will hold the parties to.

Most simply, a contract is a legally enforceable promise. This implies that not every promise or agreement creates a binding contract; if every promise did, the simple definition set out in the preceding sentence would read, "A contract is a promise." But—again—a contract is not simply a promise: it is a *legally enforceable* promise. The law considers the way in which contracts are made, by whom they are made, and for what purposes they are made. For example, in many states, a gambling wager is unenforceable, even though both parties "shake" on the bet.

Elements of an Enforceable Agreement

For a contract to be legally enforceable, courts must determine:

- Was a contract formed (offer and acceptance)?
- Was there a bargained exchange (consideration)?
- Did the parties genuinely assent?
- Is the agreement sufficiently definite and in proper form?
- Can the rights be assigned or duties delegated?
- How are duties terminated, and what remedies exist for breach?

Case: Cochran v. Norkunas

The following Letter of Intent was drafted and signed by the buyers and seller of real estate in downtown Baltimore.ⁱ Following this document's signature, Brian Best sent a formal MARS real

estate agreement (a commonly used form agreement that usually runs into the tens of pages for each sale) to Norkunas, who received it, signed some of it, but never returned it to the buyers or the agent.

LETTER OF INTENT

We, Rebecca Cochran, Robert Cochran, Hope Grove and Robert Grove, Buyers — offer to buy 835 McHenry Street, Baltimore, Md. 21230 for \$162,000. Payment by \$5,000 check, this date and \$157,000 by certified or cashiers funds not later than April 17, 2004.

A standard form Maryland Realtors contract will be delivered to Seller within 48 hours. Seller to pay only ½ normal transfer taxes and a 3% commission to Long & Foster. All other costs of closing to be paid by buyers.

The contract will contain a financing requirement for buyers, but buyers will guarantee closing and not invoke the financing contingency.

We will delete the standard home inspection contingency.

[written in margin:] Buyer to honor seller's lease and offer tenants any renewal up to 12 months.

Buyers:

Robert Cochran: /s/ Rebecca Cochran: /s/ Hope Grove: /s/ Robert Grove: /s/

Agent:

Brian Best: /s/

Seller:

/s/ Eileen W. Norkunas

Discussion Questions:

Do you think that the parties reached an agreement about the sale of 835 McHenry Street?
Does the Letter of Intent contain all the essential terms between the parties as to the sale of the property?

Sources of Contract Law

The most important sources of contract law are state case law and, to a lesser extent, state statutes (though there are also many federal statutes governing how contracts are made by and with the federal government).

Common law governs contracts for services and real estate. The American Law Institute's Restatement (Second) of Contracts provides detailed analysis of case law principles. While not binding, courts frequently look to the Restatement for guidance. The Uniform Commercial Code (UCC), particularly Article 2, governs contracts for the sale of goods. The UCC defines "goods" as

"all things... which are movable at the time of identification to the contract." (Md. Code Ann., Com. Law § 2-105)

Basic Classification of Contracts

Express, Implied, and Quasi-Contracts

- **Express Contract:** Terms explicitly stated. Example: Written agreement to pay \$500 for lawn mowing services.
- **Implied Contract:** Inferred from parties' actions. Example: Patient receives emergency medical care - obligation to pay is implied.
- **Quasi-Contract:** Legal obligation imposed to prevent unjust enrichment. Example: Lumber mistakenly delivered to your house - you must pay if you keep it.

Bilateral vs. Unilateral Contracts

- **Bilateral Contract:** Exchange of promises. Example: "I promise to pay \$500 if you promise to sell me your watch next week."
- **Unilateral Contract:** Promise for performance. Example: "I'll pay \$500 when you paint my house" - no obligation until painting begins.

Formal Contracts v. Informal Contracts

Contracts may be either "formal" or "informal." Formal contracts are those under seal or record - that is, acknowledgments of debt entered on the records of a court, and contracts in writing and under seal (all contracts under seal are written). Formal contracts are limited in use today. Informal or simple contracts are also known as "parol contracts" and include all contracts not under seal or of record- and represent the vast majority of all contracts.

Express Contract

An express contract is one in which the terms are spelled out directly. The parties to an express contract, whether it is written or oral, are conscious that they are making an enforceable agreement. See *Cnty Commr's of Caroline Cnty v. J. Roland Dashiell & Sons, Inc.*, 358 Md. 83, 747 A.2d 600 (2000).

For example, if you email your neighbor agreeing to purchase your neighbor's car for \$5,500 and to take title next Monday—this is an express contract. If you call a customer on the phone and agree to mow their lawn for \$50.00 per week starting May 1 through October 1- that is an express contract.

Implied Contract (Implied in Fact)

An implied contract is one that is inferred from the actions of the parties. When parties have not discussed terms, an implied contract exists if it is clear from the conduct of both parties that they intended a contract to exist.

For example: a delicatessen patron who asks for a turkey sandwich to go has made a contract and is obligated to pay when the sandwich is made. By ordering the food, the patron is implicitly agreeing to the price, whether posted or not. If you stop by your neighbor newspaper stand, pick up a paper and leave a dollar on the counter for the price, without any words spoken to the clerk, you have implicitly agreed to purchase the paper.

Quasi-Contracts (Implied in Law)

A quasi-contract (implied in law) is—unlike both express and implied in fact contracts, which embody an actual agreement of the parties—an obligation said to be “imposed by law” in order to avoid unjust enrichment of one person at the expense of another. A quasi-contract is not a contract at all; it is a fiction that the courts created to prevent injustice.

Suppose, for example, that the local lumberyard mistakenly delivers a load of lumber to your house, where you are repairing your deck. It was a neighbor on the next block that actually ordered the lumber, but you are happy to accept the load for free. Since you never talked to the lumberyard, you figure you do not need to pay the bill. Although it is true there is no contract, the law implies a contract for the value of the material: of course you will have to pay for what you received and kept. The existence of this implied contract does not depend on the intention of the parties.

Two legal theories used to recover under quasi-contract are: unjust enrichment and quantum meruit. Unjust enrichment requires that the defendant received a benefit at the expense of the plaintiff and equity (and good conscience) require restitution. As in our prior example of the lumberyard delivering a truck load of lumber to your house instead of your neighbor's and you try to keep the wood for free. Unjust enrichment would require that you pay the lumberyard. You received a benefit from the lumberyard and it would not be equitable to allow you to keep it for free.

Quantum meruit requires that the plaintiff establish that he or she rendered services to the defendant in good faith, the defendant accepted the services, and expectation of compensation by the plaintiff (the services were not gratuitous) for the reasonable value of the services.

An example would be, you go to pave a driveway but arrive at the wrong house. The homeowner sees you in the driveway, waves and acknowledges you and allows you to pave his driveway without telling you that you are at the wrong house. The homeowner's acknowledgement and acceptance of the service, knowing that you expected to be paid, would result in a claim for the reasonable value of your services and materials under a theory of quantum meruit.

When parties to a contract seek to redress grievances in court – where an express contract exists, the parties cannot resort to seeking remedy in quasi contract- in the hopes of reaping more damages. “The general rule is that no quasi-contractual claim can arise when a contract exists

between the parties concerning the same subject matter on which the quasi-contractual claim rests. The reason for this rule is not difficult to discern. When parties enter into a contract they assume certain risks with an expectation of a return. Sometimes, their expectations are not realized, but they discover that under the contract they have assumed the risk of having those expectations defeated. As a result, they have no remedy under the contract for restoring their expectations. In desperation, they turn to quasi-contract for recovery. This the law will not allow.” *Cnty. comm’rs of Caroline Cnty*, at 96, 747 at 607.

A promise or what seems to be a promise is usually enforceable only if it contains the elements necessary to make that promise a contract. As previously stated, those elements are mutual assent, real assent, consideration, and legality. Sometimes, though, people say things that seem like promises, and on which another person relies. In the early twentieth century, courts began to recognize that insisting on the existence of the traditional elements of contract law to determine whether a promise is enforceable could work an injustice where there was reliance on the promise. Thus developed the equitable doctrine of promissory estoppel, which became an important adjunct to contract law.

The Restatement Second of Contracts, Section 90, puts it this way: “A promise which the promisor should reasonably expect to induce action or forbearance on the part of the promisee or a third person and which does induce such action or forbearance is binding if injustice can be avoided only by enforcement of the promise. The remedy granted for breach may be limited as justice requires.” Restat 2d of Contracts, § 90.

To be “estopped” means to be prohibited from denying now the validity of a promise you made before. Hence, the term promissory estoppel.

In applying the language of Section 90, Maryland courts have developed a 4-part test

1. a clear and definite promise;
2. where the promisor has a reasonable expectation that the offer will induce action or forbearance on the part of the promisee;
3. which does induce actual and reasonable action or forbearance by the promisee; and
4. causes a detriment which can only be avoided by the enforcement of the promise.

Pavel Enters. v. A. S. Johnson Co., 342 Md. 143, 166, 674 A.2d 521, 532 (1996).

For example: you orally agree to sell your farm in Maryland to John, who currently works and lives in Florida. You include a stipulation that John must quit his job and move to Maryland by the end of July. John does this and then you change your mind and refuse to sell him the farm. Technically, your agreement is unenforceable as a contract for the sale of land (the farm) must be in writing under the Statute of Frauds (which will be discussed later). However, since John has so changed his position to his detriment based on your promise, and it was reasonable and foreseeable he would do so, a court may enforce your promise to sell John the farm under the doctrine of promissory estoppel.

Mutuality

Bilateral Contract

The typical contract is one in which two or more parties make mutual promises. Each is both promisor and promisee; that is, each pledges to do something, and each is the recipient of such a pledge. This type of contract is called a bilateral contract.

So, if you promise to pay your friend \$500 if he promises to sell you his watch next week- you have a bilateral contract. A promise for a promise. If your friend sells his watch tomorrow to someone else, you have a right to sue him for breach of contract.

Unilateral Contract

Mutual promises are not necessary to constitute a contract. Unilateral contracts, in which one party performs an act in exchange for the other party's promise, are equally valid. An offer of a reward—for catching a criminal or for returning a lost cat—is an example of a unilateral contract: there is an offer on one side, and the other side accepts by taking the action requested, instead of promising to act.

So, if you promise to pay your friend \$500 **when** he paints your house, you have unilateral contract. You have made a promise to pay. Your friend has not made a promise to paint your house. If he paints your house, you owe him \$500. If he chooses not to paint your house, you do not owe him \$500. He has not breached your agreement and you cannot sue him. You just need to find another house painter.

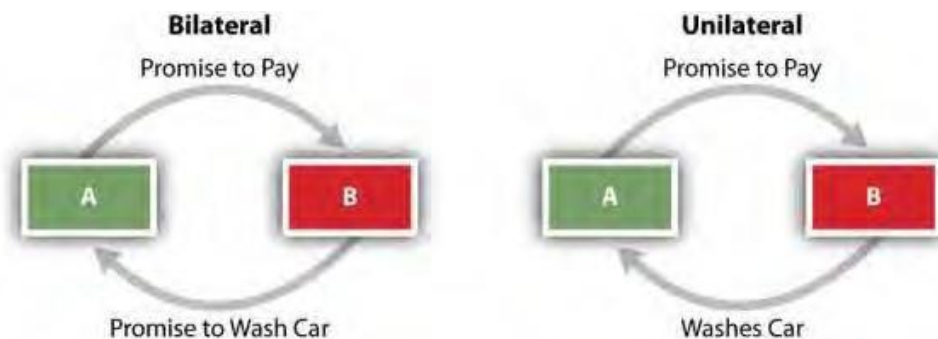
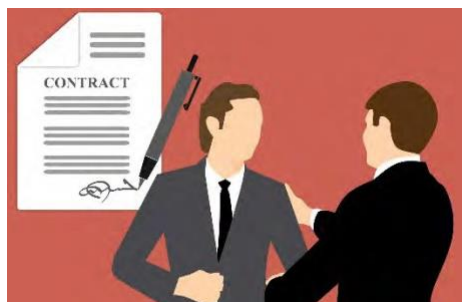


Figure 1 Bilateral and Unilateral Contracts

Offer and Acceptance – The Agreement

The core of a legal contract is the voluntary agreement between the parties. As the great student of contract law Samuel Williston put it, “It was a consequence of the emphasis laid on the ego and the individual will that the formation of a contract should seem impossible unless the wills of the parties concurred. Accordingly we find at the end of the eighteenth century, and the beginning of the nineteenth century, the prevalent idea that there must be a ‘meeting of the minds’ (a new phrase) in order to form a contract.” (Williston 368)



In interpreting agreements, courts generally apply an objective standard (outwardly, as an unbiased observer would interpret; not subjectively). The Restatement (Second) of Contracts defines *agreement* as a “manifestation of mutual assent by two or more persons to one another.” Restat 2d of Contracts, §3. The distinction between objective and subjective standards crops up occasionally when one person claims he spoke in jest.

The vice president of a company that manufactured punchboards, used in gambling, testified to the Washington State Game Commission that he would pay \$100,000 to anyone who found a “crooked board.” Barnes, a bartender, who purchased two boards that were crooked some time before, brought one to the company office and demanded payment. The company refused, claiming that the statement was made in jest (the audience at the commission hearing laughed when the offer was made). The court disagreed, holding that it was reasonable to interpret the pledge of \$100,000 as a means of promoting punchboards:

“[I]f the jest is not apparent and a reasonable hearer would believe that an offer was being made, then the speaker risks the formation of a contract which was not intended. It is the objective manifestations of the offeror that count and not secret, unexpressed intentions. If a party’s words or acts, judged by a reasonable standard, manifest an intention to agree in regard to the matter in question, that agreement is established, and it is immaterial what may be the real but unexpressed state of the party’s mind on the subject.” *Barnes v. Treece*, 549 P.2d 1152, 1155 (Wash. App. 1976).

The Offer

Offer and acceptance may seem to be straightforward concepts, as they are when two people meet face-to-face. But in a commercial society, the ways of making offers and accepting them are nearly infinite. A retail store advertises its merchandise in the newspaper. A seller makes his offer by mail or over the Internet. A telephone caller states that his offer will stand for ten days. An offer leaves open a crucial term. An auctioneer seeks bids. An offeror gives the offeree a choice. All these situations can raise tricky questions, as can corresponding situations involving acceptances. The Restatement defines offer as “the manifestation of willingness to enter into a bargain, so made as to justify another person in understanding that his assent to that bargain is invited and will conclude it.” Restat 2d of Contracts, § 24.

Two key elements are implicit in that definition: the offer must be communicated, and it must be definite. Before considering these requirements, we examine the threshold question of whether an offer was intended. Let us look at proposals that may look like, but are not, offers.

Proposals That Are Not Offers

Advertisements

Most advertisements, price quotations, and invitations to bid are not considered to be offers. A notice in the newspaper that a bicycle is on sale for \$800 is normally intended only as an invitation to the public to come to the store to make a purchase. Similarly, a statement that a seller can “quote” a unit price to a prospective purchaser is not, by itself, of sufficient definiteness to constitute an offer; quantity, time of delivery, and other important factors are missing from such a statement. Although advertisements, price quotations, and the like are generally not offers, the facts in each case are important. Under the proper circumstances, an advertised statement can be construed as an offer, as shown in the well-known case *Lefkowitz v. Great Minn. Surplus Store*, 86 N.W.2d 689 (Minn. 1957), in which the offended customer acted as his own lawyer and pursued an appeal to the Minnesota Supreme Court against a Minneapolis department store that took back its advertised offer.



In *Lefkowitz*, the store advertised a fur stole for \$1.00 that was valued at \$139.50. The ad said “First Come First Served.” Mr. Lefkowitz went to purchase the stole, and was the first purchaser at the store on the day of the sale. The store refused his purchase stating that the store had a house rule that the sale was intended for women only. This was not communicated in the ad. The store argued in court that the offer was unilateral and could be revoked at any time, including when Mr. Lefkowitz appeared at the store to purchase the fur stole. The court rejected this argument and held that the offer to sell the stole was definite, clear and explicit - leaving nothing for negotiation. In affirming the trial court's judgment for Mr. Lefkowitz, the court held that the buyer was entitled to performance of the contract having been the first person at the store to purchase the article. As to the house rule of sales only to women, the court rejected this argument as it was not part of the advertisement and once Mr. Lefkowitz was at the store to accept the offer, the seller could not add arbitrary conditions to it. *Id.* at 691-92.

Despite the common-law rule that advertisements are normally to be considered invitations rather than offers, legislation and government regulations may offer redress. For many years, retail food stores have been subject to a rule, promulgated by the Federal Trade Commission (FTC) that goods advertised as “specials” must be available and must be sold at the price advertised. It is unlawful for a retail chain not to have an advertised item in each of its stores and in sufficient quantity, unless the advertisement specifically states how much is stocked and which branch stores do not carry it. 16 C.F.R. § 238.3 (2021). Many states have enacted consumer protection statutes that parallel the FTC rule.

Communication

A contract is an agreement in which each party assents to the terms of the other party. Without mutual assent there cannot be a contract, and this implies that the assent each person gives must

be with reference to that of the other. If Toni places several alternative offers on the table, only one of which can be accepted, and invites Sandy to choose, no contract is formed if Sandy says merely, “I accept your terms.” Sandy must specify which offer she is assenting to.

From this general proposition, it follows that no contract can be legally binding unless an offer is in fact communicated to the offeree. If you write an e-mail to a friend with an offer to sell your car for a certain sum and then get distracted and forget to send it, no offer has been made. If your friend coincidentally e-mails you the following day and says that she wants to buy your car and names the same sum, no contract has been made. Her e-mail to you is not an acceptance, since she did not know of your offer; it is, instead, an offer or an invitation to make an offer. Nor would there have been a contract if you had sent your communication and the two e-mails crossed in cyberspace. Both e-mails would be offers, and for a valid contract to be formed, it would still be necessary for one of you to accept the other’s offer. An offer is not effective until it is received by the offeree (and that’s also true of a revocation of the offer, and a rejection of the offer by the offeree).



The requirement that an offer be communicated does not mean that every term must be communicated. You call up your friend and offer to sell him your car. You tell him the price and start to tell him that you will throw in the snow tires but will not pay for a new inspection, and that you expect to keep the car another three weeks. Impatiently, he cuts you off and says, “Never mind about all that; I’ll accept your offer on whatever terms you want.” You and he have a contract.

These principles apply to unknown offers of reward. An offer of a reward constitutes a unilateral contract that can be made binding only by performing the task for which the reward is offered. Suppose that Bonnie posts on a tree a sign offering a reward for returning her missing dog. If you saw the sign, found the dog, and returned it, you would have fulfilled the essentials of the offer. But if you chanced upon the dog, read the tag around its neck, and returned it without ever having been aware that a reward was offered, then you have not responded to the offer, even if you acted in the hope that the owner would reward you. There is no contractual obligation.

Definiteness

The common law reasonably requires that an offer spell out the essential proposed terms with sufficient definiteness—certainty of terms that enables a court to order enforcement or measure damages in the event of a breach. Thus a supposed promise to sell “such coal as the promisor may wish to sell” is not an enforceable term because the seller, the coal company, undertakes no duty to sell anything unless it wishes to do so. Essential terms certainly include price and the work to be done. But not every omission is fatal; for example, as long as a missing term can be fixed by referring to some external standard—such as “no later than the first frost”—the offer is sufficiently definite.

In major business transactions involving extensive negotiations, the parties often sign a preliminary “agreement in principle” before a detailed contract is drafted. These preliminary agreements may be definite enough to create contract liability even though they lack many of the terms found in a typical contract. For example, in a famous 1985 case, a Texas jury concluded that an agreement made “in principle” between the Pennzoil Company and the Getty Oil Company and not entirely finished was binding and that Texaco had unlawfully interfered with their contract. As a result, Texaco was held liable for over \$10 billion, which was settled for \$3 billion after Texaco went into bankruptcy. *Texaco, Inc. v. Pennzoil Co.*, 729 S.W.2d 768 (Tex. Ct. App. 1987).

Offers that state alternatives are definitive if each alternative is definite. David offers Sheila the opportunity to buy one of two automobiles at a fixed price, with delivery in two months and the choice of vehicle left to David. Sheila accepts. The contract is valid. If one of the cars is destroyed in the interval before delivery, David is obligated to deliver the other car.

Sometimes, however, what appears to be an offer in the alternative may be something else. Charles makes a deal to sell his business to Bernie. As part of the bargain, Charles agrees not to compete with Bernie for the next two years, and if he does, to pay \$25,000. Whether this is an alternative contract depends on the circumstances and intentions of the parties. If it is, then Charles is free to compete as long as he pays Bernie \$25,000. On the other hand, the intention might have been to prevent Charles from competing in any event; hence a court could order payment of the \$25,000 as damages for a breach and still order Charles to refrain from competition until the expiration of the two-year period.

The UCC Approach to Definiteness

The UCC is generally more liberal in its approach to definiteness than is the common law—at least as the common law was interpreted in the heyday of classical contract doctrine. Section 2-204(3) of the UCC states the rule: “Even though one or more terms are left open, a contract for sale does not fail for indefiniteness if the parties have intended to make a contract and there is a reasonably certain basis for giving an appropriate remedy.” Md. Code Ann., Com. Law § 2-204(3).

The drafters of the UCC sought to give validity to as many contracts as possible and grounded that validity on the intention of the parties rather than on formalistic requirements. As the official comment to Section 2-204(3) notes, “If the parties intend to enter into a binding agreement, this subsection recognizes that agreement as valid in law, despite missing terms, if there is any reasonably certain basis for granting a remedy.... Commercial standards on the point of ‘indefiniteness’ are intended to be applied.” *Id.* at cmt. Other sections of the UCC spell out rules for filling in such open provisions as price, performance, and remedies. Md. Code Ann., Com. Law §§ 2-305 through 2-310.

Duration of Offer

An offer need not be accepted on the spot. Because there are numerous ways of conveying an offer and numerous contingencies that may be part of the offer’s subject matter, the offeror might find it necessary to give the offeree considerable time to accept or reject the offer. By the same token, an

offer cannot remain open forever, so that once given, it never lapses and cannot be terminated. The law recognizes seven ways by which the offer can expire (besides acceptance, of course):

- revocation,
- rejection by the offeree,
- counteroffer,
- acceptance with counteroffer,
- lapse of time,
- death or insanity of a person or destruction of an essential term, and
- illegality.

Revocation

People are free to make contracts and, in general, free to revoke them. The general rule, both in common law and under the UCC, is that the offeror may revoke his or her offer at any time before acceptance, even if the offer states that it will remain open for a specified period of time. See *Hall v. Prince George's Co. Democratic Central Comm.*, 431 Md. 108, 64 A.3d 210 (2013).

Offers are also not open-ended; they lapse after some period of time. An offer may contain its own specific time limitation—for example, “until close of business today.” See *Amer. Medicinal Spirits Co. v. Baltimore*, 165 Md. 128, 166 A. 407 (1933) (“If acceptance is made in the manner and within the period fixed by the offer, the offer necessarily expires.” *Id.* at 133, 166 A. at 409.) In the absence of an expressly stated time limit, the common-law rule is that the offer expires at the end of a “reasonable” time. See *Barnes v. Euster*, 240 Md. 603, 214 A.2d 807 (1965).

However, not every type of offer is revocable. One type of offer that cannot be revoked is the option contract (the promisor explicitly agrees for consideration (usually \$\$) to limit his right to revoke). Partial performance of a unilateral contract creates an option. Although the option is not stated explicitly, it is recognized by law in the interests of justice. Otherwise, an offeror could induce the offeree to go to expense and trouble without ever being liable to fulfill his or her part of the bargain. Before the offeree begins to carry out the contract, the offeror is free to revoke the offer. But once performance begins, the law implies an option, allowing the offeree to complete performance according to the terms of the offer. If, however, after a reasonable time, the offeree does not fulfill the terms of the offer, then it may be revoked.

By law, certain types of offers may not be revoked (statutory irrevocability), despite the absence of language to that effect in the offer itself. One major category of such offers is that of the contractor submitting a bid to a public agency. The general rule is that once the period of bidding opens, a bidder on a public contract may not withdraw his or her bid unless the contracting authority consents. The contractor who attempts to withdraw (if his is the low bidder) is awarded the contract based on the original bid and may be sued for damages for nonperformance.

The UCC changes the common-law rule for offers by merchants for the sale of goods. A merchant is defined under the UCC as a person who deals in goods of the kind or otherwise by his occupation holds himself out as having knowledge or skill peculiar to the practices or goods involved in the transaction or to whom such knowledge or skill may be attributed by his employment of an agent or

broker or other intermediary who by his occupation holds himself out as having such knowledge or skill. Md. Code Ann., Com. Law § 2-104.

Under UCC Section 2-205, a firm offer (a written and signed promise by a merchant to hold an offer to buy or sell goods for some period of time) is irrevocable. That is, an option is created, but no consideration is required. The offer must remain open for the time period stated or, if no time period is given, for a reasonable period of time, which may not exceed three months.

Rejection or Counteroffer

Rejection (a manifestation of refusal to agree to the terms of an offer) of the offer is effective when the offeror receives it. A subsequent change of mind by the offeree cannot revive the offer.

A counteroffer, a response that varies the terms of the original offer, is a rejection and revokes the prior offer. A counteroffer that contains an additional proposal is not really an acceptance at all but is a counteroffer under the common law: an acceptance that changes the terms of the offer is a counteroffer and terminates the offer. The common law imposes a mirror image rule: the acceptance must match the offer in all its particulars or the offer is rejected. See *Pavel Enters.*, 342 Md. 143, 674 A.2d 521 (1996). However, if an acceptance that requests a change or an addition to the offer does not require the offeror's assent, then the acceptance is valid.

The UCC, however, is more liberal than the common law in allowing contracts to be formed despite counteroffers and in incorporating the counteroffers into the contracts. Section 2-207 of the UCC attempts to resolve this "battle of the forms" by providing that additional terms or conditions in an acceptance operate as such unless the acceptance is conditioned on the offeror's consent to the new or different terms. The new terms are construed as offers but are automatically incorporated in any contract between merchants for the sale of goods unless "(a) the offer expressly limits acceptance to the terms of the offer; (b) [the terms] materially alter it; or (c) notification of objection to them has already been given or is given within a reasonable time after notice of them is received." Md. Code Ann., Com. Law § 2-207.

An example of terms that become part of the contract without being expressly agreed to are clauses providing for interest payments on overdue bills. Examples of terms that would materially alter the contract and hence need express approval are clauses that negate the standard warranties that sellers give buyers on their merchandise. Frequently, parties use contract provisions to prevent the automatic introduction of new terms. A typical seller's provision is as follows:

Amendments. *Any modification of this document by the Buyer, and all additional or different terms included in Buyer's purchase order or any other document responding to this offer, are hereby objected to. BY ORDERING THE GOODS HERE FOR SHIPMENT, BUYER AGREES TO ALL THE TERMS AND CONDITIONS CONTAINED ON BOTH SIDES OF THIS DOCUMENT.*

Section 2-207 of the UCC, liberalizing the mirror image rule, is far reaching, covering all sorts of contracts for the sale of goods.

The Acceptance

To result in a legally binding contract, an offer must be accepted by the offeree. “A contract is formed when a unrevoked offer made by one person is accepted by another.” *Prince George’s Co. v. Silverman*, 58 Md. App. 41, 57, 472 A.2d 104, 112 (1984).

Just as the law helps define and shape an offer and its duration, so the law governs the nature and manner of acceptance. The Restatement defines acceptance of an offer as “a manifestation of assent to the terms thereof made by the offeree in a manner invited or required by the offer.” Restat 2d of Contracts, § 24. The assent may be either by the making of a mutual promise or by performance or partial performance. If there is doubt about whether the offer requests a return promise or a return act, the Restatement, Section 32, provides that the offeree may accept with either a promise or performance. Restat 2d of Contracts, § 32. The UCC also adopts this view; under Section 2-206(1)(a), “an offer to make a contract shall be construed as inviting acceptance in any manner and by any medium reasonable in the circumstances” unless the offer unambiguously requires a certain mode of acceptance. Md. Code Ann., Com. Law § 2-206(1)(a).

The identity of the offeree is usually clear, even if the name is unknown. The person to whom a promise is made is ordinarily the person whom the offeror contemplates will make a return promise or perform the act requested. But this is not invariably so. A promise can be made to one person who is not expected to do anything in return. The consideration necessary to weld the offer and acceptance into a legal contract can be given by a third party. Under the common law, whoever is invited to furnish consideration to the offeror is the offeree, and only an offeree may accept an offer.

A common example is sale to a minor. George promises to sell his automobile to Bartley, age seventeen, if Bartley’s father will promise to pay \$3,500 to George. Bartley is the promisee (the person to whom the promise is made) but not the offeree; Bartley cannot legally accept George’s offer. Only Bartley’s father, who is called on to pay for the car, can accept, by making the promise requested. And notice what might seem obvious: a *promise* to perform as requested in the offer is itself a binding acceptance.

As noted previously, an offer, a revocation of the offer, and a rejection of the offer are not effective until received. The same rule does not always apply to the acceptance. Of course, in many instances the moment of acceptance is not in question: in face-to-face deals or transactions negotiated by telephone, the parties extend an offer and accept it instantaneously during the course of the conversation. But problems can arise in contracts negotiated through correspondence.

One common situation arises when the offeror stipulates the mode of acceptance (e.g., return mail, fax, or carrier pigeon). If the offeree uses the stipulated mode, then the acceptance is deemed effective when sent. Even though the offeror has no knowledge of the acceptance at that moment, the contract has been formed. Moreover, according to the Restatement Second of Contracts, Section 60, if the offeror says that the offer can be accepted only by the specified mode, that mode must be used. (It is said that “the offeror is the master of the offer.”) Restat 2d of Contracts, §60.

If the offeror specifies no particular mode, then acceptance is effective when transmitted, as long as the offeree uses a reasonable method of acceptance. It is implied that the offeree can use the same means used by the offeror or a means of communication customary to the industry.

Silence as Acceptance

Ordinarily, for there to be a contract, the offeree must make some positive manifestation of assent to the offeror's terms. The offeror cannot usually word his offer in such a way that the offeree's failure to respond can be construed as an acceptance. The Restatement (Second) of Contracts, Section 69, gives three situations, however, in which silence can operate as an acceptance.

- when the offeree avails himself of services proffered by the offeror, even though he could have rejected them and had reason to know that the offeror offered them expecting compensation.
- when the offer states that the offeree may accept without responding and the offeree, remaining silent, intends to accept.
- previous dealings, in which only if the offeree intends not to accept is it reasonable to expect him to say so.

Restat 2d of Contracts, § 69; *see also Cochran v. Norkunas*, 398 Md. 1, 919 A.2d 700 (2007).

As an example of the first type of acceptance by silence, assume that a carpenter happens by your house and sees a collapsing porch. He spots you in the front yard and points out the deterioration. "I'm a professional carpenter," he says, "and between jobs. I can fix that porch for you. Somebody ought to." You say nothing. He goes to work. There is an implied contract, with the work to be done for the carpenter's usual fee.

To illustrate the second situation, suppose that a friend has left her car in your garage. The friend sends you a letter in which she offers you the car for \$4,000 and adds, "If I don't hear from you, I will assume that you have accepted my offer." If you make no reply, with the intention of accepting the offer, a contract has been formed.

In the third situation, if you have a standing order with your local grocery store to deliver two dozen eggs to your restaurant each Monday. And, one Monday the store delivers the eggs as per your prior dealings but you decided on Sunday that you did not need eggs this week- but did not inform the grocery store of your decision, your failure to reject them will constitute an acceptance.

Consideration

The question of what constitutes a binding contract has been answered differently throughout history and in other cultures. For example, under Roman law, a contract without consideration was binding if certain formal requirements were met. And in the Anglo-American tradition, the presence of a seal—the wax impression affixed to a document—was once sufficient to make a contract binding without any other consideration. The seal is no longer a substitute for consideration, although in some states it creates a presumption of consideration; in 49 states, the UCC abolished

the seal on contracts for the sale of goods. (Louisiana has not adopted UCC Article 2.) Md. Code Ann., Com. Law § 2-203.

Whatever its original historical purposes, and however apparently arcane, the doctrine of consideration serves some still-useful purposes. It provides objective evidence for asserting that a contract exists; it distinguishes between enforceable and unenforceable bargains; and it is a check against rash, unconsidered action, against thoughtless promise making (Fuller 799).

Consideration is said to exist when the promisor receives some benefit for his promise and the promisee gives up something in return; it is the bargained-for price; you pay for what you get. That may seem simple enough. But as with much in the law, the complicating situations are never very far away. The “something” that is promised or delivered cannot be just anything, such as a feeling of pride, warmth, amusement, or friendship; it must be something known as a legal detriment—an act, forbearance, or a promise of such from the promisee.

The detriment need not be an actual detriment; it may in fact be a benefit to the promisee, or at least not a loss. The detriment to one side is usually a legal benefit to the other, but the detriment to the promisee need not confer a tangible benefit on the promisor; the promisee can agree to forego something without that something being given to the promisor. Whether consideration is legally sufficient has nothing to do with whether it is morally or economically adequate to make the bargain a fair one. Moreover, legal consideration need not even be certain; it can be a promise contingent on an event that may never happen. Consideration is a legal concept, and it centers on the giving up of a legal right or benefit.

Consideration has two elements. The first, as just outlined, is whether the promise incurred a legal detriment—given up something, paid some “price,” though it may be, for example, the promise to do something, like paint a house. The second element is whether the legal detriment was bargained for: did the promisor specifically intend the act, forbearance, or promise in return for his promise?

Legal Sufficiency

Suppose Phil offers George \$500 if George will quit smoking for one year. Is Phil’s promise binding? Because George is presumably benefiting by making and sticking to the agreement—surely his health will improve if he gives up smoking—how can his act be considered a legal detriment? The answer is that there is forbearance on George’s part: George is legally entitled to smoke, and by contracting not to, he suffers a loss of his legal right to do so. This is a legal detriment; consideration does not require an actual detriment.

Scrooge offers to buy Caspar’s motorcycle, worth \$700, for \$10 and a shiny new fountain pen (worth \$5). Caspar agrees. Is this agreement supported by adequate consideration? Yes, because both parties agreed to give up something that is theirs: Scrooge, the cash and the pen; Caspar, the motorcycle. Courts are not generally concerned with the economic adequacy of the consideration but instead with whether it is present. As Judge Richard A. Posner puts it, “To ask whether there is consideration is simply to inquire whether the situation is one of exchange and a bargain has been struck. To go further and ask whether the consideration is adequate would require the court to do what...it is less well equipped to do than the parties—decide whether the price (and other essential

terms) specified in the contract are reasonable.” (Posner 46) In short, “courts do not inquire into the adequacy of consideration.”

Of course, normally, parties to contracts will not make such a one-sided deal as Scrooge and Caspar’s. But there is a common class of contracts in which nominal consideration—usually one dollar—is recited in printed forms. Usually these are option contracts, in which “in consideration of one dollar in hand paid and receipt of which is hereby acknowledged” one party agrees to hold open the right of the other to make a purchase on agreed terms. The courts will enforce these contracts if the dollar is intended “to support a short-time option proposing an exchange on fair terms.” Restat 2d of Contracts § 87(b). If, however, the option is for an unreasonably long period of time and the underlying bargain is unfair (the Restatement gives as an example a ten-year option permitting the optionee to take phosphate rock from a widow’s land at a per-ton payment of only one-fourth the prevailing rate), then the courts are likely to hold that the nominal consideration makes the option revocable.

Because the consideration on such option contracts is nominal, its recital in the written instrument is usually a mere formality, and it is frequently never paid; in effect, the recital of nominal consideration is false. Nevertheless, the courts will enforce the contract—precisely because the recital became a formality and nobody objects to the charade. Moreover, it would be easy enough to upset an option based on nominal consideration by falsifying oral testimony that the dollar was never paid or received. In a contest between oral testimonies where the incentive to lie is strong and there is a written document clearly incorporating the parties’ agreement, the courts prefer the latter. However, as the case of *Board of Control of Eastern Michigan University v. Burgess*, 206 N.W.2d 256 (Mich. 1973) demonstrates, the state courts are not uniform on this point, and it is a safe practice always to deliver the consideration, no matter how nominal. In *Burgess*, the option contract called for a nominal consideration of \$1.00 which was not paid or tendered, as such the court held the option contract was not valid. *Id.* at 258-59.

Preexisting Duty

As *Denney v. Reppert*, 432 S.W.2d 647 (Ky. 1968), makes clear, the promisee suffers no legal detriment in promising to undertake that which he is already obligated to do. Where a person is promised a benefit not to do that which he is already disallowed from doing, there is no consideration.

David is sixteen years old; his uncle promises him \$50 if he will refrain from smoking. The promise is not enforceable: legally, David already must refrain from smoking because he is underage, so he has promised to give up nothing to which he had a legal right.

As noted previously, the difficulty arises where it is unclear whether a person has a preexisting obligation or whether such unforeseen difficulties arose as to warrant the recognition that the parties modified the contract or entered into a novation. What if Peter insists on additional payment for him to remove one wheelbarrow full of quicksand from the excavation? Surely that’s not enough “unforeseen difficulty.” How much quicksand is enough?

Illusory Promises

Not every promise is a pledge to do something. Sometimes it is an illusory promise, where the terms of the contract really bind the promisor to give up nothing, to suffer no detriment.

For example, Lydia offers to pay Juliette \$10 for mowing Lydia's lawn. Juliette promises to mow the lawn if she feels like it. May Juliette enforce the contract? No, because Juliette incurred no legal detriment; her promise is illusory, since by doing nothing she still falls within the literal wording of her promise.

The doctrine that such bargains are unenforceable is sometimes referred to as the rule of mutuality of obligation: if one party to a contract has not made a binding obligation, neither is the other party bound. Thus if A contracts to hire B for a year at \$6,000 a month, reserving the right to dismiss B at any time (an "option to cancel" clause), and B agrees to work for a year, A has not really promised anything; A is not bound to the agreement, and neither is B.

The illusory promise presents a special problem in agreements for exclusive dealing, outputs and requirements contracts.

Under the UCC

The UCC follows the same rule. In the absence of language specifically delineating the seller's or buyer's duties, an exclusive dealing contract under Section 2-306(2) imposes "an obligation by the seller to use best efforts to supply the goods and by the buyer to use best efforts to promote their sale." Md. Code Ann., Com. Law § 2-306(2).

A similar issue arises with outputs contracts and requirements contracts. In an outputs contract, the seller—say a coal company—agrees to sell its entire yearly output of coal to an electric utility. Has it really agreed to produce and sell any coal at all? What if the coal-mine owner decides to shut down production to take a year's vacation—is that a violation of the agreement? Yes. The law imposes upon the seller here a duty to produce and sell a reasonable amount. Similarly, if the electric utility contracted to buy all its requirements of coal from the coal company—a requirements contract—could it decide to stop operation entirely and take no coal? No, it is required to take a reasonable amount.

The UCC permits one party to discharge, without consideration, a claim or right arising out of an alleged breach of contract by the other party. This is accomplished by delivering to the other party a signed written waiver or renunciation. Md. Code Ann., Com. Law § 1-107. This provision applies to any contract governed by the UCC and is not limited to the sales provisions of Article 2.

The UCC also permits a party to discharge the other side without consideration when there is no breach, and it permits parties to modify their Article 2 contract without consideration. Md. Code Ann., Com. Law §§ 2-209(1), 2-209(4). The official comments to the UCC section add the following: "However, modifications made thereunder must meet the test of good faith imposed by this Act. The effective use of bad faith to escape performance on the original contract terms is barred, and the extortion of a "modification" without legitimate commercial reason is ineffective as a violation of the duty of good faith." *Id.* at cmt. 2.

Section 1-308 [formerly 1-207] of the UCC allows a party a reservation of rights while performing a contract; however, this section does not apply to an accord and satisfaction, which is covered under section 3-311. Md. Code Ann., Com. Law §§ 1-308, 3-311. Section 1-308 raises a difficult question when a debtor issues an in- full-payment check in payment of a disputed debt. As noted earlier in this section, because under the common law the creditor's acceptance of an in-full-payment check in payment of a disputed debt constitutes an accord and satisfaction, the creditor cannot collect an amount beyond the check.

But what if the creditor, in cashing the check, reserves the right (under Section 1- 308) to sue for an amount beyond what the debtor is offering? The courts are split on the issue: regarding the sale of goods governed by the UCC, some courts allow the creditor to sue for the unpaid debt notwithstanding the check being marked "paid in full," and others do not. Maryland requires an explicit statement that the payment is tendered in full and complete satisfaction of a disputed claim **AND** no dissent or dissatisfaction by the party accepting the payment. *Weston Bldrs & Developers, Inc. v. McBerry, LLC*, 167 Md. App. 24, 79, 891 A.2d 430, 461 (2005).

Legality

We have discussed the requirements of agreement, mutual assent, and consideration. We now turn to the requirement of legality of the underlying bargain. The basic rule is that courts will not enforce an illegal bargain. (The term *illegal bargain* is better than *illegal contract* because a contract is by definition a legal agreement, but the latter terminology prevails in common usage.) Why should the courts refuse to honor contracts made privately by people who presumably know what they are doing—for example, a wager on the World Series or a championship fight? Two reasons are usually given. One is that refusal to enforce helps discourage unlawful behavior; the other is that honoring such contracts would demean the judiciary. Are these reasons valid? Maybe – it depends.



Strictly enforced, the rule prohibiting courts from ordering the parties to honor illegal contracts is harsh. It means that a promisee who has already performed under the contract can neither obtain performance of the act for which he bargained nor recover the money he paid or the value of the performance he made. The court will simply leave the parties where it finds them, meaning that one of the parties will receive an uncompensated benefit.

Not surprisingly, the severity of the rule against enforcement led courts to seek ways to moderate its impact, chiefly by modifying it according to the principle of restitution. In general, restitution requires that one who conferred a benefit or suffered a loss should not unfairly be denied compensation.

Pursuing this notion, the courts created several exceptions to the general rule. Thus a party who is excusably ignorant that his promise violates public policy and a party who is not equally in the wrong may recover. Likewise, when a party "would otherwise suffer a forfeiture that is disproportionate in relation to the contravention of public policy involved," restitution will be allowed. Restat 2d of Contracts, § 197(b). Other exceptions exist when the party seeking restitution withdraws from the transaction contemplated in the contract before the illegal

purpose has been carried out and when “allowing the claim would put an end to a continuing situation that is contrary to the public interest.” *Id.* An example of the latter situation occurs when two bettors place money in the hands of a stakeholder. If the wager is unlawful, the loser of the bet may recover his money from the stakeholder before it is paid out to the winner.

By and large courts enforce contracts without considering the worth or merits of the bargain they incorporate, freedom of contract can conflict with other public policies. Tensions arise between the desire to let people pursue their own ends and the belief that certain kinds of conduct should not be encouraged. Thus, a patient may agree to be treated by an herbalist, but state laws prohibit medical care except by licensed physicians. Law and public policies against usury, gambling, obstructing justice, bribery, corrupt influence, perjury, restraint of trade, impairment of domestic relations, and fraud all significantly affect the authority and willingness of courts to enforce contracts.

In this section, we will consider two types of illegality: (1) that which results from a bargain that violates a statute and (2) that which the courts deem contrary to public policy, even though not expressly set forth in statutes.

Agreements in Violation of Statute

Any bargain that violates the criminal law—including statutes that govern extortion, robbery, embezzlement, forgery, some gambling, licensing, and consumer credit transactions—is illegal. Thus, determining whether contracts are lawful may seem to be an easy enough task. Clearly, whenever the statute itself explicitly forbids the making of the contract or the performance agreed upon, the bargain (such as a contract to sell drugs) is unlawful. But when the statute does not expressly prohibit the making of the contract, courts examine a number of factors in determining its validity, such as a contract involving the apparently innocent sale of a jewelry manufacturing firm whose real business was making marijuana-smoking paraphernalia. *Bovard v. American Horse Enterprises*, 201 Cal. App. 3d 832 (Cal. 1988) (the court declared the contract void on public policy grounds based on statutory law making the use, possession and distribution of marijuana illegal, even though the manufacturer of the paraphernalia was not technically illegal when the contract was entered into). And, contracts failing to contain necessary statutory language will not necessarily be deemed void, as the courts can impliedly incorporate the necessary statutory language into the statute. *Roger's Refrigeration Co. v. Pulliam's Garage, Inc.*, 66 Md. App. 675, 505 A.2d 878 (1986).

However, the safest course of action is to make sure a contract complies with any and all statutory requirements.

Usury

A usury statute is one that sets the maximum allowable interest that may be charged on a loan; usury is charging illegal interest rates. Md. Code Ann., Com. Law §§ 12-102 thru 12-114. Formerly, such statutes were a matter of real importance because the penalty levied on the lender—ranging from forfeiture of the interest, or of both the principal and the interest, or of some part of the principal—was significant. But usury laws, like Sunday contract laws, have

been relaxed to accommodate an ever-more-frenzied consumer society. There are a number of transactions to which the laws do not apply, varying by state: small consumer loans, pawn shop loans, payday loans, and corporate loans.

In *Marquette v. First Omaha Service Corp.*, 439 U.S. 299 (1978), the Supreme Court ruled that a national bank could charge the highest interest rate allowed in its home state to customers living anywhere in the United States, including states with restrictive interest caps. Thus it was that in 1980 Citibank moved its credit card headquarters from cosmopolitan New York City to the somewhat less cosmopolitan Sioux Falls, South Dakota. South Dakota recently abolished its usury laws, and so, as far as credit-card interest rates, the sky was the limit, which appealed to Citibank and a number of other financial institutions, and to the state: it became a major player in the US financial industry, garnering many jobs.

Licensing Statutes

To practice most professions and carry on the trade of an increasing number of occupations, states require that providers of services possess licenses— hairdressers, doctors, plumbers, real estate brokers, and egg inspectors are among those on a long list. As sometimes happens, though, a person may contract for the services of one who is unlicensed either because he is unqualified and carrying on his business without a license or because for technical reasons (e.g., forgetting to mail in the license renewal application) he does not possess a license at the moment.

Robin calls Paul, a plumber, to install the pipes for her new kitchen. Paul, who has no license, puts in all the pipes and asks to be paid. Having discovered that Paul is unlicensed, Robin refuses to pay. May Paul collect?

To answer the question, a three-step analysis is necessary. First, is a license required? Some occupations may be performed without a license (e.g., lawn mowing). Others may be performed with or without certain credentials, the difference lying in what the professional may tell the public. (For instance, an accountant need not be a certified public accountant to carry on most accounting functions.) Let us assume that the state requires everyone who does any sort of plumbing for pay to have a valid license.

The second step is to determine whether the licensing statute explicitly bars recovery by someone who has performed work while unlicensed. Some do; many others contain no specific provision on the point. Statutes that do bar recovery must of course govern the courts when they are presented with the question. If the statute is silent, courts must, in the third step of the analysis, distinguish between “regulatory” and “revenue” licenses. A regulatory license is intended to protect the public health, safety, and welfare. To obtain these licenses, the practitioner must generally demonstrate his or her abilities by taking some sort of examination, like the bar exam for lawyers or the medical boards for doctors. A plumber’s licensing requirement might fall into this category.

A revenue license generally requires no such examination and is imposed for the sake of raising revenue and to ensure that practitioners register their address so they can be found if a disgruntled client wants to serve legal papers for a lawsuit. Some revenue licenses, in addition

to requiring registration, require practitioners to demonstrate that they have insurance. A license to deliver milk, open to anyone who applies and pays the fee, would be an example of a revenue license. (In some states, plumbing licenses are for revenue purposes only.) Generally speaking, failure to hold a regulatory license bars recovery, but the absence of a revenue or registration license does not—the person may obtain the license and then move to recover.

Bargains Made Illegal by the Common Law

Public policy is expressed by courts as well as legislatures. In determining whether to enforce a contract where there is no legislative dictate, courts must ordinarily balance the interests at stake. To strike the proper balance, courts must weigh the parties' expectations, the forfeitures that would result from denial of enforcement, and the public interest favoring enforcement against these factors: the strength of the policy, whether denying enforcement will further the policy, the seriousness and deliberateness of the violation, and how direct the connection is between the misconduct and the contractual term to be enforced. Restat 2d of Contracts, §178.

Common-Law Restraint of Trade

One of the oldest public policies evolved by courts is the common-law prohibition against restraint of trade. From the early days of industrialism, the courts took a dim view of ostensible competitors who agreed among themselves to fix prices or not to sell in each other's territories. Since 1890, with the enactment of the Sherman Act, the law of restraint of trade has been absorbed by federal and state antitrust statutes. But the common-law prohibition still exists. Though today it is concerned almost exclusively with promises not to compete in sales of businesses and employment contracts, it can arise in other settings. For example, George's promise to Arthur never to sell the parcel of land that Arthur is selling to him is void because it unreasonably restrains trade in the land.

The general rule is one of reason: not every restraint of trade is unlawful; only unreasonable ones are. In Maryland, an agreement in restraint of trade that is unlimited or unreasonable is void. *Donovan v. Scuderi*, 51 Md. App. 217, 443 A.2d 121 (1982). As the Restatement puts it, "Every promise that relates to business dealings or to a professional or other gainful occupation operates as a restraint in the sense that it restricts the promisor's future activity. Such a promise is not, however, unenforceable, unless the restraint that it imposes is unreasonably detrimental to the smooth operation of a freely competitive private economy." Restat 2d of Contracts, §186(a). An agreement that restrains trade will be construed as unreasonable unless it is ancillary to a legitimate business interest and is no greater than necessary to protect the legitimate interest. Restraint-of-trade cases usually arise in two settings: (1) the sale of a business and an attendant agreement not to compete with the purchasers and (2) an employee's agreement not to compete with the employer should the employee leave for any reason.

Sale of a Business



A first common area where a restraint-of-trade issue may arise is with the sale of a business. Regina sells her lingerie store to Victoria and promises not to establish a competing store in town for one year. Since Victoria is purchasing Regina's goodwill (the fact that customers are used to shopping at her store), as well as her building and inventory, there is clearly a property interest to be protected. And the geographical limitation ("in town") is reasonable if that is where the store does business. But if Regina agreed not to engage in any business in town, or to wait ten years before opening up a new store, or not to open up a new store anywhere within one hundred miles of town, she could

avoid the noncompetition terms of the contract because the restraint in each case (nature, duration, and geographic area of restraint) would have been broader than necessary to protect Victoria's interest. Whether the courts will uphold an agreement not to compete depends on all the circumstances of the particular case.

In Maryland, such agreements will be strictly construed and will be held valid where they are reasonable in terms of time and place. *Checket-Columbia Co. v. Lipman*, 201 Md. 494, 94 A.2d 433 (1953); see also *ICENY USA, LLC v. M&M's, LLC*, 421 F. Supp. 3d 204 (D. Md. 2019). However, where these agreements were unlimited as to time, but restricted to a reasonable area, such as a town, city or county, courts have upheld them. *Guerand v. Dandelet*, 32 Md. 561 (1870); *Griffin v. Guy*, 172 Md. 510, 192 A. 359 (1937).

Employment Non-compete Agreements

A second common restraint-of-trade issue arises with regard to non-compete agreements in employment contracts. As a condition of employment by the research division of a market research firm, Bruce, a product analyst, is required to sign an agreement in which he promises, for a period of one year after leaving the company, not to "engage, directly or indirectly, in any business competing with the company and located within fifty miles of the company's main offices." The principal reason recited in the agreement for this covenant not to compete is that by virtue of the employment, Bruce will come to learn a variety of internal secrets, including client lists, trade or business secrets, reports, confidential business discussions, ongoing research, publications, computer programs, and related papers. Is this agreement a lawful restraint of trade?



Here both the property interest of the employer and the extent of the restraint are issues. Certainly an employer has an important competitive interest in seeing that company information not walk out the door with former employees. Nevertheless, a promise by an employee not to compete with his or her former employer is scrutinized carefully by the courts, and an injunction (an order directing a person to stop doing what he or she should not do) will be issued cautiously, partly because the prospective employee is usually confronted with a contract of adhesion (take it or leave it) and is in a weak bargaining position compared to the employer, and partly because an injunction might cause the employee's unemployment. See *Allegis Group, Inc. v. Jordan*, 951 F.3d 203 (4th Cir. 2020) (non-compete agreement in incentive

clause for highly paid employees was narrowly tailored in protecting corporate interest and not and undue hardship as participation in the incentive plan was voluntary); *Bindagraphics, Inc. v. Fox Grp., Inc.*, 377 F. Supp. 3d 565 (D. Md. 2019) (non-solicitation agreement for one year was found to be overly broad where is prevented former employee from soliciting prospective customers and passive sales to customers employee did not solicit).

Many courts are not enthusiastic about employment non-compete agreements. In Maryland, for employees earning less than \$15.00 per hour or \$31,200 per year, “[a] noncompete or conflict of interest provision in an employment contract or a similar document or agreement that restricts the ability of an employee to enter into employment with a new employer or to become self-employed in the same or similar business or trade shall be null and void as being against the public policy of the State.” Md. Code Ann., Lab. & Employ. § 3-716. Other states are less stingy, and employers have attempted to avoid the strictures of no-enforcement state rulings by providing that their employment contracts will be interpreted according to the law of a state where non-competes are favorably viewed.

“Under Maryland law, whether a restrictive covenant is enforceable depends upon the unique language of the covenant at issue, and the specific facts of the case.” *Aerotek, Inc. v. Obercian*, 377 F. Supp. 3d 539, 546 (D. Md. 2019) (citing *Holloway v. Faw, Casson & Co.*, 319 Md. 324, 572 A.2d 510, 515 (Md. 1990), *Ruhl v. F.A. Bartlett Tree Expert Co.*, 245 Md. 118, 225 A.2d 288, 291 (Md. 1967)). “To be enforceable, a restrictive covenant must satisfy the following four requirements: (1) the employer must have a legally protected interest; (2) the restrictive covenant must be no wider in scope and duration than is reasonably necessary to protect the employer's interest; (3) the covenant cannot impose an undue hardship on the employee; and (4) the covenant cannot violate public policy.” *Aerotek*, 377 F. Supp. 3d at 546 (citing *Silver v. Goldberger*, 231 Md. 1, 188 A.2d 155, 158 (Md. 1963)).

If a covenant not to compete is ruled unlawful, the courts can pursue one of three courses by way of remedy. First, a court can refuse to enforce the entire covenant, freeing the employee to compete thenceforth. Second, the court could delete from the agreement only that part that is unreasonable and enforce the remainder (the “blue pencil” rule). *Aerotek*, 377 F. Supp. 3d at 546 (Maryland courts follow the “blue pencil” rule). Third, in some states, the courts moved away from this rule and have actually taken to rewriting the objectionable clause themselves. Since the parties intended that there be some form of restriction on competition, a reasonable modification would achieve a more just result. *Raimondo v. Van Vlerah*, 325 N.E.2d 544, 548 (Ohio 1975) (reversing a lower court judgment and directing the trial court to construct a reasonable covenant between the parties in terms of time and distance).

Unconscionable Contracts

Courts may refuse to enforce unconscionable contracts, those that are very one-sided, unfair, the product of unequal bargaining power, or oppressive; a court may find the contract divisible and enforce only the parts that are not unconscionable. *Aerotek*, 377 F. Supp. 3d at 553.

The common-law rule is reflected the Restatement: “If a contract or term thereof is unconscionable at the time the contract is made a court may refuse to enforce the contract, or

may enforce the remainder of the contract without the unconscionable term, or may so limit the application of any unconscionable term as to avoid any unconscionable result.” Restat 2d of Contracts, § 208.

And the UCC (again, of course, a statute, not common law) provides a similar rule: “If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” Md. Code Ann., Com. Law § 2-302(1).

“*Unconscionable*” is not defined in the Restatement or the UCC, but cases have given gloss to the meaning, *Williams v. Walker-Thomas Furniture Co.*, 350 F.2d 445, 449 (D.C. Cir 1965), a well-known early interpretation of the section by the DC Court of Appeals (“when a party of little bargaining power, and hence little real choice, signs a commercially unreasonable contract with little or no knowledge of its terms, it is hardly likely that his consent, or even an objective manifestation of his consent, was ever given to all the terms.”)

Unconscionability may arise procedurally or substantively. A term is procedurally unconscionable if it is imposed upon the “weaker” party because of fine or inconspicuous print, unexpected placement in the contract, lack of opportunity to read the term, lack of education or sophistication that precludes understanding, or lack of equality of bargaining power. Substantive unconscionability arises where the affected terms are oppressive and harsh, where the term deprives a party of any real remedy for breach. Most often—but not always—courts find unconscionable contracts in the context of consumer transactions rather than commercial transactions. In the latter case, the assumption is that the parties tend to be sophisticated businesspeople able to look out for their own contract interests.

“Contracts of adhesion that are “drafted unilaterally by the dominant party and then presented on a ‘take-it-or-leave-it basis’” are procedurally unconscionable.” *Aerotek*, 377 F. Supp. 3d at 553 (citing *Walther v. Sovereign Bank*, 386 Md. 412, 430, 872 A.2d 735, 746 (2005)). “The fact that a contract is one of adhesion does not mean that either it or any of its terms are invalid or unenforceable.” *Id.* (citing *Meyer v. State Farm Fire & Cas. Co.*, 85 Md. App. 83, 90, 582 A.2d 275, 278 (1990)). Rather, “a contract of adhesion will be held invalid only if it is also substantively unconscionable.” *Id.* (citing *Walther*, at 430, 872 A.2d at 746-47).”

Exculpatory Clauses

The courts have long held that public policy disfavors attempts to contract out of tort liability. Exculpatory clauses that exempt one party from tort liability to the other for harm caused intentionally or recklessly are unenforceable without exception. A contract provision that exempts a party from tort liability for negligence is unenforceable under two general circumstances: (1) when it “exempts an employer from liability to an employee for injury in the course of his employment” or (2) when it exempts one charged with a duty of public service and who is receiving compensation from liability to one to whom the duty is owed. Restat 2d of Contracts, §195.

Contract terms with offensive exculpatory clauses may be considered somewhat akin to unconscionability. However, exculpatory clauses will generally be held valid “as long as [its] language . . . clearly and specifically indicates the intent to release the defendant from liability for personal injury caused by the defendant's negligence.” *Seigneur v. National Fitness Institute, Inc.*, 132 Md. App. 271, 280, 752 A.2d 631 636 (2000). In Maryland, “three exceptions have been identified where the public interest will render an exculpatory clause unenforceable. They are: (1) when the party protected by the clause intentionally causes harm or engages in acts of reckless, wanton, or gross negligence; (2) when the bargaining power of one party to the contract is so grossly unequal so as to put that party at the mercy of the other's negligence; and (3) when the transaction involves the public interest.” *Id.* at 282-83, 752 A.2d at 637.

In Maryland, exculpatory clauses in certain situations are made invalid by statute. See Md. Code Ann., Real Prop. § 8-105 (exculpatory clauses in property leases against public policy).

Effect of Illegality and Exceptions

The general rule is this: courts will not enforce illegal bargains. The parties are left where the court found them, and no relief is granted: it's a hands-off policy. The illegal agreement is void, and that a wrongdoer has benefited to the other's detriment does not matter. *State of Maryland v. Strickland*, 42 Md. App. 357, 362, 400 A.2d 451, 454 (1979) (“A basic principle of contract law is that agreements to commit a crime are illegal, void. Without question, courts will not order damages for breach of such a contract. Parties of that ilk are left where they are found, to stew in their own juice.”).

For example, suppose a specialty contractor, statutorily required to have a license, constructs a waterslide for Plaintiff, when the contractor knew or should have known he was unlicensed. Plaintiff discovers the impropriety and refuses to pay the contractor \$80,000 remaining on the deal. The contractor will not get paid. *Pacific Custom Pools, Inc. v. Turner Construction*, 94 Cal. Rptr. 2d 756 (Cal. 2000). In another example, a man held himself out to be an architect in a jurisdiction requiring that architects pass a test to be licensed. He was paid \$80,000 to design a house costing \$900,000. The project was late and over budget, and the building violated relevant easement building-code rules. The unlicensed architect was not allowed to keep his fee. *Ransburg v. Haase*, 586 N.E.2d 1295 (Ill. App. Ct. 1992). Some exceptions to this general rule have been made by courts, such as where a party withdraws before the illegal performance is completed. See *Harrington v. Bochenski*, 140 Md. 24, 31, 116 A. 836, 839 (1922) (party entered into contract to purchase alcohol, upon discovering contract was illegal, buyer was able to recover money as seller had not performed yet). In other cases, a court may reform or sever the unenforceable portion of the agreement. See *State Farm Mut. Auto Ins. Co. v. Nationwide Mut. Ins. Co.*, 307 Md. 631, 516 A.2d 586 (1986) (household exclusion in auto insurance policy found to be against public policy – that provision only was unenforceable).

The Statute of Frauds

The general rule is this: a contract need not be in writing to be enforceable. An oral agreement to pay a high-fashion model \$2 million to pose for photographs is as binding as if the language of the

deal were printed on vellum and signed in the presence of twenty bishops. For three centuries, however, a large exception grew up around the Statute of Frauds, first enacted in England in 1677 under the formal name "An Act for the Prevention of Frauds and Perjuries." The Statute of Frauds requires that some contracts be evidenced by a writing, signed by the party to be bound. In modern practice, several types of contracts must be in writing.

Types of Contracts Required in Writing and Their Exceptions

Promises to Pay Another's Debt

Rule: A promise to pay someone else's debt must be in writing if it's a "collateral promise" (secondary promise).

Example:

- Direct promise: A and B both agree to pay C (no writing required)
- Collateral promise: B agrees to pay C if A doesn't (writing required)

Exception - Main Purpose Doctrine: If the guarantor's main purpose is to benefit themselves economically, no writing needed. Example: A board chairman personally guarantees company debt to get critical catalogs printed and save his company from bankruptcy.

Executor/Administrator Agreements

Rule: An executor's promise to personally pay a deceased person's debt must be in writing.

Exception: Same main purpose doctrine applies as above.

Real Estate Contracts

Rule: Contracts involving real estate interests (sales, mortgages, leases) must be in writing. Short-term leases (one year or less) are exempt.

Exception - Part Performance: Oral contracts may be enforced if:

- Buyer took possession AND
- Made improvements to the property

One-Year Rule

Rule: Contracts that cannot be performed within one year from making must be in writing.

Exception - Possibility Test: If there's ANY chance the contract could be completed within one year, it's enforceable orally. Example: Contract to pay "within 13 months" is enforceable because payment could happen sooner.

UCC Rules for Goods Sales

Rule: Contracts for goods over \$500 must be in writing. (Md. Code Ann., Com. Law § 2-201)

Exceptions:

1. **Ten-Day-Reply:** Between merchants, if one confirms oral agreement in writing and other doesn't object within 10 days
2. **Specially Manufactured Goods:** Custom-made goods unsuitable for sale elsewhere
3. **Admission:** Party admits contract in court/testimony
4. **Payment/Delivery:** Payment made or goods delivered and accepted

Required Writing Content

Common Law Requirements:

- Subject matter

- Essential terms
- Parties identified
- Consideration mentioned
- Time of performance

UCC Requirements:

- Signed by party to be charged
- Parties identified
- Quantity (price not required)

General Exceptions and Modifications

1. **Full Performance:** If both sides complete the contract, writing requirement is moot
2. **Detrimental Reliance:** Relief may be granted if someone relied on oral contract
3. **Oral Rescission:** Most written contracts can be cancelled orally, except:
 - Contracts specifically prohibiting oral rescission
 - Certain UCC goods contracts
 - Land contracts after title transfer
4. **Modification:** Written contracts can be modified orally if the new contract falls outside statute requirements

Defenses to Contract Formation

For a contract to be enforceable, the offeror and the offeree must both agree to its terms and conditions. This agreement must be done voluntarily, knowingly and freely. If anyone of these elements of assent is missing, the validity of the contract is called into question. There are a variety of defenses that may result in a determination that the agreement was not voluntary.

Duress

Duress occurs when someone is forced to enter a contract against their will. There are two types: (a) physical duress, and (b) duress by threat.

Physical duress involves actual physical force or threats of bodily harm. According to the Restatement (Second) of Contracts § 174, contracts formed under physical duress are void, not just voidable. This is rare but involves situations where someone becomes "a mere mechanical instrument."

Duress by threat is more common and renders contracts voidable. Three elements are required:

1. The threat must be improper
2. The victim must have no reasonable alternative
3. The threat must actually induce assent (subjective test)

Common improper threats include:

- Threats of crime or tort
- Threats of criminal prosecution

- Threats of civil litigation in bad faith
- Threats to breach existing contracts unfairly
- Threats to disclose embarrassing private information

Example: If Jack threatens to break windows in Olson's car showroom unless Olson buys back a lemon car, this makes the contract voidable, even if the underlying deal is fair.

Undue Influence

The Restatement (Second) of Contracts characterizes undue influence as “unfair persuasion.” Restat 2d of Contracts, §177. It is a milder form of duress than physical harm or threats. The unfairness does not lie in any misrepresentation; rather, it occurs when the victim is under the domination of the persuader or is one who, in view of the relationship between them, is warranted in believing that the persuader will act in a manner detrimental to the victim’s welfare if the victim fails to assent. It is the improper use of trust or power to deprive a person of free will and substitute instead another’s objective. Usually the fact pattern involves the victim being isolated from receiving advice except from the persuader. Falling within this rule are situations where, for example, a child takes advantage of an infirm parent, a doctor takes advantage of an ill patient, or a lawyer takes advantage of an unknowledgeable client. See *Cook v. Hollyday*, 185 Md. 656, 45 A.2d 761 (1946) (attorney and brother-in-law of testatrix used undue influence in execution of will that was drafted heavily in favor of attorney and not heir at law). If there has been undue influence, the contract is voidable by the party who has been unfairly persuaded. Whether the relationship is one of domination and the persuasion is unfair is a factual question. The answer hinges on a host of variables, including “the unfairness of the resulting bargain, the unavailability of independent advice, and the susceptibility of the person persuaded.” Restat 2d of Contracts, §177(b).

Fraudulent Misrepresentation

The two types of misrepresentation are fraudulent and non-fraudulent. Within the former are fraud in the execution and fraud in the inducement. Within the latter are negligent misrepresentation and innocent misrepresentation. **Misrepresentation** is a statement of fact that is not consistent with the truth. If misrepresentation is intentional, it is fraudulent misrepresentation; if it is not intentional, it is non-fraudulent misrepresentation, which can be either negligent or innocent. In further taxonomy, courts distinguish between fraud in the execution and fraud in the inducement.

Fraud in the execution is defined by the Restatement as follows: “If a misrepresentation as to the character or essential terms of a proposed contract induces conduct that appears to be a manifestation of assent by one who neither knows nor has reasonable opportunity to know of the character or essential terms of the proposed contract, his conduct is not effective as a manifestation of assent.” Restat 2d of Contracts, §163. For example, Alphonse and Gaston decide to sign a written contract incorporating terms to which they have agreed. It is properly drawn up, and Gaston reads it and approves it. Before he can sign it, however, Alphonse shrewdly substitutes a different version to which Gaston has not agreed. Gaston signs the substitute version. There is no contract. There is fraud in the execution.

Fraud in the inducement is more common. It involves some misrepresentation about the subject of the contract that induces assent. Alphonse tells Gaston that the car Gaston is buying from Alphonse has just been overhauled—which pleases Gaston—but it has not been. This renders the contract voidable. *Western Md. Dairy Corp. v. Brown*, 169 Md. 257, 181 A. 468 (1935) (insurance company representative badgered plaintiff to sign release at hospital immediately following accident).

Fraudulent misrepresentation is a misstatement of fact that is intentionally made and justifiably relied upon. The elements of a fraudulent misrepresentation claim are:

“(1) that a representation made by the defendant was false; (2) that either its falsity was known to the defendant or the misrepresentation was made with such reckless indifference to truth as to impute knowledge to him; (3) that the misrepresentation was made for the purpose of defrauding the plaintiff; (4) that the plaintiff not only relied upon the misrepresentation but had the right to rely upon it with full belief in its truth, and that he would not have done the thing from which damage resulted if it had not been made; and (5) that the plaintiff suffered damage directly resulting from the misrepresentation.” *Univ. Nursing Home, Inc. v. R.B. Brown & Assocs., Inc.*, 67 Md. App. 48, 61, 506 A.2d 268, 274 (1986)

Negligent Misrepresentation

Where representation is caused by carelessness, it is **negligent misrepresentation**. To prove it, a plaintiff must show a negligent misstatement of fact that is material and justifiably relied upon. “The principal elements of the tort of negligent misrepresentation ... [are]:

(1) the defendant, owing a duty of care to the plaintiff, negligently asserts a false statement; (2) the defendant intends that his statement will be acted upon by the plaintiff; (3) the defendant has knowledge that the plaintiff will probably rely on the statement, which, if erroneous, will cause loss or injury; (4) the plaintiff, justifiably, takes action in reliance on the statement; and (5) the plaintiff suffers damage proximately caused by the defendant's negligence.” *Martens Chevrolet, Inc. v. Seney*, 292 Md. 328, 336-37, 439 A.2d 534, 539 (1982)

Negligence

As an element of misrepresentation, “negligence” here means the party who makes the representation was careless. A potential buyer of rural real estate asks the broker if the neighborhood is quiet. The broker assures her it is. In fact, the neighbors down the road have a whole kennel of hunting hounds that bark a lot. The broker didn’t know that; she just assumed the neighborhood was quiet. That is negligence: failure to use appropriate care. By not checking the neighborhood first or even in response to the question, the broker was negligent.

Misstatement of Fact

Whether a thing is a fact may be subject to the same general analysis used in discussing fraudulent misrepresentation. (A person could negligently conceal a fact, or negligently give an opinion, as in legal malpractice.)

Materiality

A **material** misrepresentation is one that “would be likely to induce a reasonable person to manifest his assent” or that “the maker knows...would be likely to induce the recipient to do so.” Restat 2d of Contracts, §162(2). An honestly mistaken statement that the house for sale was built in 1922 rather than 1923 would not be the basis for avoiding the contract because it is not material unless the seller knew that the buyer had sentimental or other reasons for purchasing a house built in 1922. See *Carozza v. Peacock Land Corp.*, 231 Md. 112, 121, 188 A.2d 917, 921 (1963) (“A fact is material if its existence or nonexistence is a matter to which a reasonable man would attach importance in determining his choice of action in the transaction, or the maker of the misrepresentation knows that its recipient is likely to regard the fact as important although a reasonable man would not so regard it.”); *Snyder v. Herbert Greenbaum & Assoc., Inc.*, 38 Md. App. 144, 148, 380 A.2d 618, 621 (1977) (“In order for the misrepresentations to have this effect, not only must there be representations that are false, but the representations must be of facts, and the facts must be material to the contracting.”)

Justifiable Reliance

The issues here for negligent misrepresentation are the same as those set out for fraudulent misrepresentation. Negligent misrepresentation implies culpability and is usually treated the same as fraudulent misrepresentation; if the representation is not fraudulent, however, it cannot be the basis for rescission unless it is also material. As with fraudulent misrepresentation, the plaintiff must have relied on the misrepresentation and that reliance must be justifiable- meaning it was reasonable for the plaintiff to have relied on the statement.

Innocent Misrepresentation

The elements necessary to prove innocent misrepresentation are, reasonably enough, based on what we’ve looked at so far, as follows: an innocent misstatement of fact that is material and justifiably relied upon. It is not necessary here to go over the elements in detail. The issues are the same as previously discussed, except now the misrepresentation is innocent. The plaintiffs purchased the defendants’ eighteen-acre parcel on the defendants’ representation that the land came with certain water rights for irrigation, which they believed was true. It was not true. The plaintiffs were entitled to rescission based on innocent misrepresentation. *Leshner v. Strid*, 996 P.2d 988 (Or. Ct. App. 2000).

Capacity

A contract is a meeting of minds. If someone lacks mental capacity to understand what he is assenting to—or that he is assenting to anything—it is unreasonable to hold him to the consequences of his act. *Potter v. Musick*, 247 Md. 39, 40-41, 230 A.2d 91, 92 (1967). At

common law there are various classes of people who are presumed to lack the requisite capacity. These include infants (minors), the mentally ill, and the intoxicated.

Minors (or “Infants”)

The general rule is this: minors (or more legalistically “infants”) are in most states persons younger than 18; they can avoid their contracts, up to and within a reasonable time after reaching majority, subject to some exceptions and limitations. The rationale here is that infants do not stand on an equal footing with adults, and it is unfair to require them to abide by contracts made when they have immature judgement.

The words *minor* and *infant* are mostly synonymous, but not exactly, necessarily. In a state where the legal age to drink alcohol is 21, a 20 year-old would be a minor, but not an infant, because infancy is under 18. A 17 year-old may avoid contracts (usually), but an 18 year-old, while legally bound to his contracts, cannot legally drink alcohol. Strictly speaking, the better term for one who may avoid his contracts is *infant*, even though, of course, in normal speaking we think of an infant as a baby.

The age of majority (when a person is no longer an infant or a minor) was lowered in all states except Mississippi during the 1970s (to correspond to the 26th Amendment, ratified in 1971, guaranteeing the right to vote at 18) from 21 to either 18 or 19. Legal rights for those under 21 remain ambiguous, however. Maryland’s legal age of majority is 18. Md. Code Ann., Gen. Provis. § 1-401. Although 18 year-olds may assent to binding contracts, not all creditors and landlords believe it, and they may require parents to cosign. For those under 21, there are also legal impediments to holding certain kinds of jobs, signing certain kinds of contracts, marrying, leaving home, and drinking alcohol. There is as yet no uniform set of rules.

The exact day on which the disability of minority vanishes also varies. The old common-law rule put it on the day before the 21st birthday. Many states have changed this rule so that majority commences on the day of the 18th birthday. An infant’s contract is voidable, not void. An infant wishing to avoid the contract need do nothing positive to disaffirm. The defense of infancy to a lawsuit is sufficient; although the adult cannot enforce the contract, the infant can (which is why it is said to be voidable, not void). There are exceptions to this general rule that makes contracts with minors voidable by the minor.

Necessities Exception. Minors are liable for the reasonable cost of necessities to prevent harm to them. Originally limited to food, medicine, clothing, and shelter, courts now include property and services enabling the minor to earn a living and support dependents. In *Gastonia Personnel Corp. v. Rogers*, 172 SE 2d 19 (N.C. Sup. 1970), an employment agency’s services were deemed necessities. Executed contracts for necessities create quasi-contractual liability for reasonable value.

Nonvoidable Contracts. State statutes prohibit disaffirmation for certain contracts including insurance, education and medical care, banking agreements, and stocks and bonds. Third-party rights also limit disaffirmation. If a minor sells property to someone who then sells it to an innocent third party, the minor cannot recover it.

Misrepresentation of Age. When minors misrepresent their age, affirmative lies about age typically prevent disaffirmation. Some states require age statements in separate documents, while implied misrepresentation may estop minors from claiming infancy. Some jurisdictions allow tort damages for fraudulent misrepresentation.

Ratification. Upon reaching majority, former minors can explicitly ratify the contract without new consideration needed, impliedly ratify through continued payments or retention of goods, or disaffirm within a reasonable time if not already done as a minor.

Return of Consideration. Generally, disaffirming minors must return existing goods but need not account for waste or damage. Some courts now require fairness, as in *Dodson v. Shrader*, 824 SW 2d 545 (Tenn. 1992), where a minor had to pay for a wrecked truck.

Tort Liability. Minors are liable for torts unless the tort suit is an indirect method of contract enforcement. Example: A minor mechanic negligently damaging an engine cannot be sued for negligence if it would enforce the service contract.

Mentally Ill Persons

The general rule is that a contract made by person who is mentally ill is voidable by the person when she regains her sanity, or, as appropriate, by a guardian. If a guardian has been legally appointed for a person who is mentally ill, any contract made by the mentally ill person is void, but may nevertheless be ratified by the ward (the incompetent person who is under a guardianship) upon regaining sanity or by the guardian. Restat 2d of Contracts, § 13. However, if the contract was for a necessity, the other party may have a valid claim against the estate of the one who is mentally ill in order to prevent unjust enrichment. In other cases, whether a court will enforce a contract made with a person who is mentally ill depends on the circumstances. Only if the mental illness impairs the competence of the person in the particular transaction can the contract be avoided; the test is whether the person understood the nature of the business at hand. Upon avoidance, the mentally ill person must return any property in her possession. And if the contract was fair and the other party had no knowledge of the mental illness, the court has the power to order other relief.

Intoxicated Persons

If a person is so drunk that he has no awareness of his acts, and if the other person knows this, there is no contract. The intoxicated person is obligated to refund the consideration to the other party unless he dissipated it during his drunkenness. If the other person is unaware of his intoxicated state, however, an offer or acceptance of fair terms manifesting assent is binding. In Maryland, “the intoxication of a person which will invalidate a deed or contract made by him must be such as to render him incapable of knowing what he is doing, or to deprive him of the powers of reasoning and understanding to such an extent that he fails entirely to comprehend the consequences of his act. In order to set aside a person's contract on the ground of drunkenness, it is not sufficient to show that he was under undue excitement from the use of liquor. His incompetency can be established only by proof that at the time of the challenged act his understanding was clouded or his reason dethroned by actual intoxication. The mere showing that he had previously been intoxicated on numerous occasions is not sufficient. The temporary mental

derangement produced by intoxication must be shown to have existed at the time of the transaction.” *Lynn v. Magness*, 191 Md. 674, 682, 62 A.2d 604, 608 (1948).

If a person is only partially inebriated and has some understanding of his actions, “avoidance depends on a showing that the other party induced the drunkenness or that the consideration was inadequate or that the transaction departed from the normal pattern of similar transactions; if the particular transaction is one which a reasonably competent person might have made, it cannot be avoided even though entirely executory.” Restat 2d of Contracts, §16(b). A person who was intoxicated at the time he made the contract may nevertheless subsequently ratify it. Thus where Mervin Hyland, several times involuntarily committed for alcoholism, executed a promissory note in an alcoholic stupor but later, while sober, paid the interest on the past-due note, he was denied the defense of intoxication; the court said he had ratified his contract. *First State Bank of Sinai v. Hyland*, 399 N.W.2d 894 (S.D. 1987). In any event, intoxicated is a disfavored defense on public policy grounds.

Mistake

In discussing fraud, we have considered the ways in which trickery by the other party makes a contract void or voidable. We now examine the ways in which the parties might “trick” themselves by making assumptions that lead them mistakenly to believe that they agreed to something they did not. A mistake is “a belief about a fact that is not in accord with the truth.” Restat 2d of Contracts, §151.



Unilateral Mistake

Where one party makes a mistake, it is a unilateral mistake. The rule: ordinarily, a contract is not voidable because one party made a mistake about the subject matter (e.g., the truck is not powerful enough to haul the trailer; the dress doesn’t fit). See *Creamer v. Helferstay*, 294 Md. 107, 121, 448 A.2d 332, 339 (1982) (“absent intentional, culpable conduct, such as fraud, duress or undue influence, a unilateral mistake is ordinarily not a ground for relief from a contract.”).

Exceptions

If one side *knows or should know* that the other made a mistake, he or she may not take advantage of it. And, as the Court of Appeals of Maryland stated in *Creamer*, intentional, culpable conduct will be grounds to rescind a contract where the mistake is unilateral. See *id.*

A person who makes the mistake of not reading a written document will usually get no relief, nor will relief be afforded to one whose mistake is caused by negligence (a contractor forgets to add in the cost of insulation) unless the negligent party would suffer unconscionable hardship if the mistake were not corrected. Courts will allow the correction of drafting errors in a contract (“reformation”) in order to make the contract reflect the parties’ intention. *Sikora v. Vanderploeg*, 212 S.W.3d 277 (Tenn. Ct. App. 2006).

Mutual Mistake

In the case of mutual mistake—both parties are wrong about the subject of the contract—relief may be granted. The Restatement sets out three requirements for successfully arguing mutual mistake.

The party seeking to avoid the contract must prove that the mistake relates to a “basic assumption on which the contract was made”;
the mistake has a material effect on the agreed exchange of performances; and
the party seeking relief does not bear the risk of the mistake. Restat 2d of Contracts, § 152.

Basic assumption is probably clear enough. In the famous “cow case,” the defendant sold the plaintiff a cow—Rose of Abalone—believed by both parties to be barren (not able to give birth) and thus of less value than a fertile cow (a promising young, fertile dairy cow in 2021 might sell for upwards of \$3,000). Just before the plaintiff was to take Rose from the defendant’s barn, the defendant discovered she was “large with calf”; he refused to go on with the contract. The court held this was a mutual mistake of fact—“a barren cow is substantially a different creature than a breeding one”—and ruled for the defendant. That she was infertile was “a basic assumption,” but—for example—that hay would be readily available to feed her inexpensively was not, and had hay been expensive, that would not have rescinded the contract. *Sherwood v. Walker*, 33 N.W. 919 (Mich. 1887); see also *Wheat v. Cross*, 31 Md. 99, 104 (1869) (“In a case where there is a mutual mistake of the parties as to the subject-matter of the contract, or the price or terms, going to show the want of a consensus ad idem [meeting of the minds], without which no contract can arise, such a defence [sic] may be made.”); *Bartlett v. Dept. of Transp.*, 40 Md App. 47, 388 A.2d 930 (1978) (mistake in determining purchase price based on a price per acre deemed not material, but rather a computational error).

Material Effect on the Agreed-to Exchange of Performance

“Material effect on the agreed-to exchange of performance” means that because of the mutual mistake, there is a significant difference between the value the parties thought they were exchanging compared with what they would exchange if the contract were performed, given the standing facts. Again, in the cow case, had the seller been required to go through with the deal, he would have given up a great deal more than he anticipated, and the buyer would have received an unagreed-to windfall.

Party Seeking Relief Does Not Bear the Risk of the Mistake

Assume a weekend browser sees a painting sitting on the floor of an antique shop. The owner says, “That old thing? You can have it for \$100.” The browser takes it home, dusts it off, and hangs it on the wall. A year later a visitor, an expert in art history, recognizes the hanging as a famous lost El Greco worth \$1 million. The story is headlined; the antique dealer is chagrined and claims the contract for sale should be voided because both parties mistakenly thought they were dickering over an “old, worthless” painting.

The contract is valid. The owner is said to bear the risk of mistake because he contracted with conscious awareness of his ignorance: he knew he didn’t know what the painting’s possible

value might be, but he didn't feel it worthwhile to have it appraised. He gambled it wasn't worth much, and lost. *Dynacorp Ltd. v. Aramatel Ltd.*, 208 Md. App. 403, 477, 56 A.3d 631, 675 (2012) (party held to forum selection clause in contract regardless of awareness of provision); *Western Md. Dairy Corp.*, at 263-64, 181 A. at 471-72 (where plaintiff was rushed into signing release at hospital without the time to read it and understand the contents, the release will be rescinded).

Interpretation of Agreements

As any reader knows, the meaning of words depends in part on context and in part on the skill and care of the writer. As Justice Oliver Wendell Holmes Jr. once succinctly noted, "A word is not a crystal, transparent and unchanged; it is the skin of a living thought and may vary greatly in color and content according to the circumstances and the time in which it is used." *Towne v. Eisner*, 245 U.S. 418, 425 (1917). Words and phrases can be ambiguous, either when they stand alone or when they take on a different coloration from words and phrases near them. A writer can be careless and contradict himself without intending to; people often read hurriedly and easily miss errors that a more deliberate perusal might catch.

Interpretation difficulties can arise for any of a number of reasons: a form contract might contain language that is inconsistent with provisions specifically annexed; the parties might use jargon that is unclear; they might forget to incorporate a necessary term; assumptions about prior usage or performance, unknown to outsiders like judges, might color their understanding of the words they do use. Because ambiguities do arise, courts are frequently called on to give content to the words on paper.

Courts attempt to give meaning to the parties' understanding when they wrote the contract.

The intention of the parties governs, and if their purpose in making the contract is known or can be ascertained from all the circumstances, it will be given great weight in determining the meaning of an obscure, murky, or ambiguous provision or a pattern of conduct. A father tells the college bookstore that in consideration of its supplying his daughter, a freshman, with books for the coming year, he will guarantee payment of up to \$350. His daughter purchases books totaling \$400 the first semester, and he pays the bill. Midway through the second semester, the bookstore presents him with a bill for an additional \$100, and he pays that. At the end of the year, he refuses to pay a third bill for \$150. A court could construe his conduct as indicating a purpose to ensure that his daughter had whatever books she needed, regardless of cost, and interpret the contract to hold him liable for the final bill.

Tools of Interpretation

The policy of uncovering purpose has led to a number of tools of judicial interpretation:

- More specific terms or conduct are given more weight than general terms or unremarkable conduct. Thus a clause that is separately negotiated and added to a contract will be counted as more significant than a standard term in a form contract.

- A writing is interpreted as a whole, without undue attention to one clause.
- Common words and terms are given common meaning; technical terms are given their technical meanings.
- In the range of language and conduct that helps in interpretation, the courts prefer the following items in the order listed: express terms, course of performance, course of dealing, and usage of trade.
- If an amount is given in words and figures that differ, the words control.
- Writing controls over typing; typing controls over printed
- Ambiguities are construed against the party that wrote the contract.

In this section, we have considered a set of generally technical legal rules that spell out the consequences of contracts that are wholly or partially oral or that, if written, are ambiguous or do not contain every term agreed upon. These rules fall within three general headings:

- the Statute of Frauds,
- the parol evidence rule, and
- the rules of interpretation.

Obviously, the more attention paid to the contract before it is formally agreed to, the fewer the unforeseen consequences. In general, the conclusion is inescapable that a written contract will avoid a host of problems. Writing down an agreement is not always sensible or practical, but it can probably be done more often than it is. Written contracts do not, to be sure, guarantee escape from disputes and litigation. Sometimes ambiguities are not seen; sometimes they are necessary if the parties are to reach an agreement at all.

Rather than back out of the deal, it may be worth the risk to one or both parties deliberately to go along with an ambiguous provision and hope that it never arises to be tested in a dispute that winds up in court. Nevertheless, it is generally true that a written contract has at least three benefits over oral ones, even those that by law are not required to be in writing. (1) The written contract usually avoids ambiguity. (2) It can serve both as a communications device and as a device for the allocation of power, especially within large companies. By alerting various divisions to its formal requirements, the contract requires the sales, design, quality-control, and financial departments to work together. By setting forth requirements that the company must meet, it can place the power to take certain actions in the hands of one division or another. (3) Finally, should a dispute later arise, the written contract can immeasurably add to proof both of the fact that a contract was agreed to and of what its terms were.

When a contract's content is defined, the next question presented is whether a party performed the agreement when a duty under an agreement is due. A party is liable to perform agreed-to contract duties until or unless he or she is discharged. If the person fails to perform without being discharged, liability for damages arises.

Discharge by Performance (or Nonperformance) of the Duty

A contract can be discharged by complete performance or material nonperformance of the contractual duty. Note, in passing, that the modern trend at common law (and explicit under the

UCC Section 1-203) is that the parties have a good-faith duty to perform. Md. Code Ann., Com. Law § 1-203; *Plank v. Cherneski*, 469 Md. 548, 582, 231 A.3d 436, 456 (2020). There is in every contract “an implied covenant of good faith” (honesty in fact in the transaction) that the parties will deal fairly, keep their promises, and not frustrate the other party’s reasonable expectations of what was given and what received.

Full Performance

Full performance of the contractual obligation discharges the duty. If Ralph does a fine job of plumbing Betty’s new bathroom, she pays him. Both are discharged. Both have fully performed their obligations to each other.

If Ralph doesn’t do any work at all on Betty’s bathroom, or almost none, then Betty owes him nothing. She—the non-breaching party—is discharged, and Ralph is liable for breach of contract.

Under UCC Section 2-106(4), a party that ends a contract breached by the other party is said to have effected a **cancellation**. Md. Code Ann., Com. Law § 2-106(4). The cancelling party retains the right to seek a remedy for breach of the whole contract or any unperformed obligation. The UCC distinguishes cancellation from **termination**, which occurs when either party exercises a lawful right to end the contract other than for breach. When a contract is terminated, all executory duties are discharged on both sides, but if there has been a partial breach, the right to seek a remedy survives. Md. Code Ann., Com. Law §2-106(3).

Substantial Performance

Logically, anything less than full performance, even a slight deviation from what is owed, is sufficient to prevent the duty from being discharged and can amount to a breach of contract. So if Ralph does all the plumbing for Betty’s new bathroom *except* hook up the toilet feed, he has not really “plumbed the new bathroom.” He has only plumbed part of it. At classic common law, that was it: either you did the thing you promised completely or you materially breached. But under modern theories, an ameliorative doctrine developed, called substantial performance: if one side substantially, but not completely, performed, so that the other side received a benefit, the non-breaching party owes something for the value received. The Restatement (Second) of Contracts puts it this way:

"In an important category of disputes over failure of performance, one party asserts the right to payment on the ground that he has completed his performance, while the other party refuses to pay on the ground that there is an uncured material failure of performance....In such cases it is common to state the issue...in terms of whether there has been substantial performance....If there has been substantial although not full performance, the building contractor has a claim for the unpaid balance and the owner has a claim only for damages. If there has not been substantial performance, the building contractor has no claim for the unpaid balance, although he may have a claim in restitution." Restat 2d of Contracts, §237(d).

The contest here is between the one who claims discharge by the other's material breach and the one who asserts there has been substantial performance. What constitutes substantial performance is a question of fact, as illustrated in *Dep't of Hous. & Cmty. Dev. v. Mullen*, 165 Md. App. 624, 886 A.2d 900 (2005) (where curators of historic property failed to follow federal historic guidelines as set forth in contract establishing curatorship in conducting renovations, curator did not substantially comply with the contract). With substantial performance, the nonbreaching party is required to pay the contract price, less any damages or allowances for the deviation in strict performance. *Gamble v. Woodlea Constr. Co.*, 246 Md. 260, 267, 228 A.2d 243, 246 (1967) (measure of recovery for substantial performance is contract price less cost of completing the work in accordance with the contract).

Under the UCC, there is no such thing as substantial performance. Section 2-601 requires that the goods delivered according to the contract be the exact things ordered—that there be a perfect tender (unless the parties agree otherwise). "Under Article 2 of the UCC, when dealing with the sale of goods, the perfect tender rule states that a buyer is permitted to reject goods shipped or delivered to it from a seller if the seller's tender of the goods is in some way not perfect." (this is known in the law as the "Perfect Tender Rule"). Md. Code Ann., Com. Law § 2-601.

Contract Remedies

We come at last to the question of remedies. A valid agreement was made, the promisor's duties are not discharged; he or she breached the contract. When one party failed to perform, what are the rights of the parties? Or when the contract has been avoided because of incapacity or misrepresentation and the like, what are the rights of the parties after disaffirmance? These questions form the focus of this section. Remedies for breach of contracts for the sale of goods will be considered separately.

The fundamental purpose of remedies in noncriminal cases is not to punish the breaching party but—if possible—to put the non-breaching party in the position he or she would have been in had there been no breach. Or, as is said, the purpose is to make the non-breaching party whole.

There are two general categories of remedies—legal and equitable. In the category of legal remedies are damages. **Damages** are money paid by one party to another; there are several types of damages. In the category of equitable remedies are these three: **specific performance**, which means a person is ordered to deliver a unique thing (land or a unique personal property, such as a painting or an antique car); **injunction**, a judicial order directing a person to stop doing what he or she should not do (such as competing with a former employer in violation of a non-compete agreement); and **restitution**, which means putting the parties back into the position they were in before the contract was made. Restat 2d of Contracts, § 345.

Parties Have the Power—but Not the Right—to Breach

In view of the importance given to the intention of the parties in forming and interpreting contracts, it may seem surprising that the remedy for every breach is not a judicial order that the obligor carry out his or her undertakings. But it is not. Of course, some duties cannot be performed after a

breach, because time and circumstances will have altered their purpose and rendered many worthless. Still, there are numerous occasions on which it would be theoretically possible for courts to order the parties to carry out their contracts, yet the courts will not do it.

In 1897, Justice Oliver Wendell Holmes Jr. declared in a famous line that “the duty to keep a contract at common law means a prediction that you must pay damages if you do not keep it.” (Holmes 457). By that, he meant simply that the common law looks more toward compensating the promisee for his or her loss than toward compelling the promisor to perform. Indeed, the law of remedies often provides the parties with an incentive to break the contract. In short, the promisor has a choice: perform or pay.

The logic of this position is clear in many typical cases. The computer manufacturer orders specially designed circuit boards, then discovers before the circuits are made that a competitor has built a better machine and destroyed his market. The manufacturer cancels the order (breaching the contract). It would make little economic sense for the circuit board maker to fabricate the boards if they could not be used elsewhere. A damage remedy to compensate the maker for out-of-pocket loss or lost profits is sensible; a judicial decree forcing the computer manufacturer to pay for and take delivery of the boards would be wasteful.

In general and if possible, the fundamental purpose of contract remedies is to put the non-breaching party in the position it would have been in had there been no breach. Contract remedies serve to protect three different interests: an expectation interest, a reliance interest, and a restitution interest. A promisee will have one of these and may have two or all three.

- An expectation interest is the benefit for which the promisee bargained, and the remedy is to put him in a position as good as that which he would have been in had the contract been performed.
- A reliance interest is the loss suffered by relying on the contract and taking actions consistent with the expectation that the other party will abide by it; the remedy is reimbursement that restores the promisee to his position before the contract was made.
- A restitution interest is that which restores to the promisee any benefit he conferred on the promisor. Restat 2d of Contracts, § 344.

These interests do not dictate the outcome according to a rigid formula; circumstances and the nature of the contract, as usual, will play a large role. But in general, specific performance is a remedy that addresses the expectation interest, monetary damages address all three interests, and, not surprisingly, restitution addresses the restitution interest.

Consider some simple examples. A landowner repudiates an executory contract with a builder to construct a garage on her property for \$100,000. The builder anticipated a \$10,000 profit (the garage would have cost him \$90,000 to build). What can he expect to recover in a lawsuit against the owner? The court will not order the garage to be built; such an order would be wasteful, since the owner no longer wants it and may not be able to pay for it. Instead, the court will look to the builder’s three possible interests. Since the builder did not start work, he gave the owner nothing, and therefore has no restitution interest. Nor has he any reliance interest, since we are assuming that he did not pay out any money for supplies, hire a

work crew, or advance money to subcontractors. But he expected a profit, and so he has an expectation interest of \$10,000.

Now suppose that the builder dug out the foundation and poured concrete, at a cost of \$15,000. His expectation interest is now \$25,000 (the \$10,000 in expected profit and the \$15,000 he expected to recover for labor and materials used). His reliance interest is \$15,000, because this is the amount he already spent. He may also have a restitution interest, depending on how much the foundation of the house is worth to the owner. (The value could be more or less than the sum of money actually expended to produce the foundation; for example, the builder might have had to pay his subcontractors for a greater share of the job than they had completed, and those sums therefore would not be reflected in the worth of the foundation.)

Normally, the promisee will choose which of the three interests to pursue. As is to be expected, the choice hinges on the circumstances of the case, his feelings, and the amount at stake.

Legal Remedies: Damages

The promisee, whom we will hereafter refer to as the non-breaching party, has the right to damages (a money award), if that is required to make her whole, whenever the other party breached the contract, unless, of course, the contract itself or other circumstances suspend or discharge that right.

Damages refers to money paid by one side to the other; it is a legal remedy.

For historical and political reasons in the development of the English legal system, the courts of law were originally only able to grant monetary relief. If a petitioner wanted something other than money, recourse to a separate system of equity was required. The courtrooms and proceedings for each were separate. That actual separation is long gone, but the distinction is still recognized; a judge may be said to be “sitting in law” or “sitting in equity,” or a case may involve requests for both money and some action. We take up the legal remedies of damages first.



There are four main types of damages under contract law: compensatory, consequential, nominal, and (sometimes) punitive.

Compensatory Damages

Damages paid to directly compensate the non-breaching party for the value of what was not done or performed are **compensatory damages**. Sometimes calculating that value of the promisor's performance is easy—for example, when the non-breaching party has ascertainable costs and profits, as in the case of the builder who would have earned \$10,000 profit on a \$100,000 house. When the performance is a service, a useful measure of loss is what it would cost to substitute performance by someone else. But the calculation is frequently difficult, especially when the performance is a service that is not easily duplicated. If Rembrandt breached a contract to paint your portrait, the loss could not be measured simply by inquiring how much Van Gogh would charge to do the same thing. Nevertheless, in theory, whatever net value would ultimately have been conferred on the non-breaching party is the proper measure of compensatory damages. An author whose publisher breaches its contract to publish the book and who cannot find another publisher is entitled to lost royalties (if ascertainable) plus the value that would have accrued from her enhanced reputation.

Since the non-breaching party usually has obligations under the contract also, a breach by the other party discharges his duty to perform and may result in savings. Or he may have made substitute arrangements and realized at least a partial profit on the substitution. Or, as in the case of the builder, he may have purchased goods intended for the job that can be used elsewhere. In all these situations, the losses he has avoided—savings, profits, or value of goods—are subtracted from the losses incurred to arrive at the net damages. The non-breaching party may recover his actual losses, not more. Suppose an employer breaches a contract with a prospective employee who was to begin work for a year at a salary of \$35,000. The employee quickly finds other, similar work at a salary of \$30,000. Aside from whatever he might have had to spend searching for the job (incidental damages), his compensatory damages are limited to \$5,000, the difference between what he would have earned and what he is earning.

Lost volume can be a troublesome problem in calculating damages. This problem arises when the non-breaching party, a supplier of goods or services, enters a second contract when the buyer repudiates. The question is whether the second contract is a substituted performance or an additional one. If it is substituted, damages may be little or nothing; if additional, the entire expectation interest may be recovered. An automobile dealer contracts to sell a car in his inventory. Shortly before the deal is closed, the buyer calls up and repudiates the contract. The dealer then sells the car to someone else. If the dealer can show that he could have sold an identical car to the second purchaser regardless of what the first purchaser did, then the second sale stands on its own and cannot be used to offset the net profit recoverable from the first purchaser. The factual inquiry in lost volume cases is whether the non-breaching party would have engaged in the second transaction if the breach never occurred.

One form of compensatory damages the non-breaching party may recover are referred to as **incidental damages**. Incidental loss includes expenditures that the non-breaching party incurs in attempting to minimize the loss that flows from the breach. To arrange for substitute goods or services, the non-breaching party might have to pay a premium or special fees to locate another supplier or source of work.

Consequential Damages

“Consequential damages cover those losses suffered by the non-breaching party other than the loss in value of the other party's performance. Such damages must be “reasonably foreseeable” and must “fairly and reasonably be supposed to *have been in the contemplation of both parties* at the time they made the contract, as the probable result of the breach of it.” *Simard v. Burson*, 197 Md. App. 396, 414-15, 14 A.3d 6, 16 (2011) (citing *Minh-Vu Hoang v. Hewitt Ave. Assocs., LLC*, 177 Md. App. 562, 594-95, 936 A.2d 915 (2007)).

For example, if Ralph does a poor job of plumbing Betty's bathroom and the toilet leaks, damaging the floor, the downstairs ceiling, and the downstairs rug, Ralph would owe for those losses in consequential damages. It would be foreseeable that a leak would damage the floor, lower ceiling and rug.

Note, however, that one obvious, and often large, expenditure occasioned by a breach—namely, legal expenses in bringing a lawsuit to remedy the particular breach— is not an element of

damages, unless the contract explicitly states that it is, and cannot be charged to the defendant. There is one situation, however, in which legal costs can be added to damages: when the breach causes the non-breaching party to be involved in a lawsuit with someone else. Consequential damages will not be allowed, however, if those damages are not foreseeable.

Nominal Damages

In the situation where there has been a breach but the non-breaching party has really suffered no loss or cannot prove what his loss is, he is entitled to nominal damages. Ricardo contracts to buy a new car from a dealer; the dealer breaches the contract. Ricardo finds and buys the same car from another dealer at the same price that the first one was to sell it for. If Ricardo wanted to sue the original dealer for breach, he suffered no real out of pocket loss (other than some time), so only nominal damages would be appropriate: \$5, perhaps.

Punitive Damages

Punitive damages are those awarded for the purpose of punishing a defendant in a civil action, in which criminal sanctions are of course unavailable. They are proper in cases in which the defendant acted willfully and maliciously and are thought to deter others from acting similarly. Since the purpose of contract law is compensation, not punishment, punitive damages have not traditionally been awarded, with one exception—when the breach of contract is also a tort for which punitive damages may be recovered.

Punitive damages are permitted in the law of torts (in all but four states) when the behavior is fraudulent, malicious or willful (reckless conduct causing physical harm, deliberate defamation of one's character, a knowingly unlawful taking of someone's property), and some kinds of contract breach are also tortious. For example, when a creditor holding collateral as security under a contract for a loan sells the collateral to a good-faith purchaser for value even though the debtor was not in default, he breached the contract and committed the tort of conversion; punitive damages may be awarded, assuming the behavior was willful and not merely mistaken.

Punitive damages are not fixed by law. The judge or jury may award at its discretion whatever sum is believed necessary to redress the wrong or deter like conduct in the future. This means that a richer person may be slapped with much heavier punitive damages than a poorer one in the appropriate case. But the judge in all cases may remit (reduce) some or all of a punitive damage award if he or she considers it excessive. In Maryland, conduct giving rise to an order for punitive damages requires clear and convincing evidence. *Owens-Illinois, Inc. v. Zenobia*, 325 Md. 420, 469, 601 A.2d 633, 657 (1992). Once the evidence establishes the right to punitive damages, such awards cannot be excessive or grossly out of proportion to the actual damages incurred by the nonbreaching party. The U.S. Supreme Court in *State Farm Mut. Auto. Ins. Co. v. Campbell*, 538 U.S. 408, 418 (2003) gave three guideposts for lower courts to use when making a determination of punitive damages:

“(1) the degree of reprehensibility of the defendant's misconduct; (2) the disparity between the actual or potential harm suffered by the plaintiff and the punitive damages award; and (3) the difference between the punitive damages awarded by the jury and the civil penalties authorized or imposed in comparable cases.”

In *State Farm*, the jury awarded \$1 million in compensatory damages and another \$145 million in punitive damages in an insurance case that alleged bad faith failure to settle on the part of State Farm by its insured, Campbell, arising out of an auto accident. The Supreme Court reversed the jury award of \$145 million in punitive damages and remanded the case back to the state court system for a redetermination of punitive damages in light of the guideposts the Court put forth. *Id.* at 429.

Liquidated Damages

Liquidated damages are not a separate form of damages but merely refer to situations in which the parties themselves may specify how much should be paid in the event of a breach in their contract before a breach even occurs. Courts will enforce a liquidated damages provision as long as the actual amount of damages is difficult to ascertain (in which case proof of it is simply made at trial) and the sum is reasonable in light of the expected or actual harm. If the liquidated sum is unreasonably large, the excess is termed a penalty and is said to be against public policy and unenforceable.

Public works contracts typically contain liquidated damages clauses allowing the government to assess liquidated damages if the contractor is late in completing the project. For example, a contract to build a road. If the contract calls for the road to be built in 100 days and the contractor is late by an additional 30 days, it would be difficult to ascertain what that delay cost the government, so liquidated damages of \$500 per day might be appropriate.

Equitable Remedies

Really the only explanation for the differences between law and equity is to be found in the history and politics of England dating to the twelfth century, but in practical terms, the distinctions are notable. First, juries are not used in equitable cases. Second, equity relies less on precedent and more on the sense that justice should be served. Third, and of most significance, where what is sought by the non-breaching party is not money—that is, where there is no adequate legal remedy—equity may afford relief. In equity a person may get a judge to order the breaching party to deliver some actual property, or to stop doing something that he should not do, or to return the consideration the non-breaching party gave so as to return the parties to the pre-contract status (specific performance, injunction, and restitution, respectively).

Specific performance is a judicial order to the promisor that he undertake the performance to which he obligated himself in a contract. Specific performance is an alternative remedy to damages and may be issued at the discretion of the court, when money damages will not make the non-breaching party whole. Restate 2d of Contracts §§ 357, 359.

Emily signs a contract to sell Charlotte a gold samovar, a Russian antique of great sentimental value because it once belonged to Charlotte's mother. Emily then repudiates the contract while still executory. A court may properly grant Charlotte an order of specific performance against Emily.

Once students understand the basic idea of specific performance, they often want to pounce upon it as the solution to almost any breach of contract. It seems reasonable that the non-breaching party could ask a court to simply require the promisor to do what she promised she would. But specific performance is a very limited remedy: it is *only* available for breach of contract to sell a unique item, that is, a unique item of personal property (the samovar), or a parcel of real estate (all real estate is unique). But if the item is not unique, so that the non-breaching party can go out and buy another one, then the legal remedy of money damages will solve the problem. And specific performance will never be used to force a person to perform services against his will, which would be involuntary servitude. A person may be forced to stop doing that which he should not do (injunction), but not forced to do what he will not do.

An **injunction** is the second type of equitable remedy available in contract (it is also available in tort). It is a court order directing a person to stop doing that which she should not do. For example, if an employer has a valid non-compete contract with an employee, and the employee, in breach of that contract, nevertheless undertakes to compete with his former employer, a court may **enjoin** (issue an order of injunction), directing the former employee to stop such competition. A promise by a person not to do something—in this example, not to compete—is called a **negative covenant** (a covenant is a promise in a contract, itself a contract). Or if Seller promises to give Buyer the right of first refusal on a parcel of real estate or a unique work of art, but Seller, in breach of a written promise, offers the thing to a third party, a court may enjoin Seller from selling it to the third party.

The third type of equitable relief is **rescission and restitution**. Rescission is the cancelling of the contract to put the parties in the position they were in prior to the contract. In rescinding a contract many times one or both of the parties is required to make restitution to the other party. Restitution is a remedy applicable to several different types of cases: those in which the contract was avoided because of incapacity or misrepresentation, those in which the other party breached, and those in which the party seeking restitution breached. As the word implies, *restitution* is a restoring to one party of what he gave to the other.

Only to the extent that the injured party conferred a benefit on the other party may the injured party be awarded restitution. The point is, a person who breaches a contract should not suffer a punishment, and the non-breaching party should not be unjustly enriched.

Reformation allows the courts to re-write a parties' agreement to reflect the true intentions of the parties. This happens when the parties did not accurately state their agreement in writing originally. Where there is a mutual mistake or fraud, the courts can order reformation. For example, if Steve and Tom contract for Steve to purchase Tom's car for \$2,000, and Tom has two cars (a 2017 BMW worth \$45,000 and a 1990 Subaru) but the agreement does not state which one, the court can amend the contract to list the correct car.

A court will also order reformation where the parties had an oral agreement that they later put into writing, but make an error in the process. Finally, as noted previously, courts may reform a covenant not to compete where it is found unreasonable in terms of duration and/or location.

Glossary of Key Terms

A

acceptance
The manifestation of assent to the terms of an offer,
communicated by the offeree in a manner invited
or required by the offer.20
agreementSee contract

B

Bilateral Contract
A contract formed by the exchange of mutual
promises between two parties, where each is both
a promisor and a promisee.10

C

Consideration
The bargained-for exchange between parties,
involving legal detriment to the promisee or
benefit to the promisor.22
contract
A legally enforceable promise or set of promises, for
which the law provides a remedy in case of breach
or recognizes as a duty to perform.3
counteroffer
a response that varies the terms of the original offer
.....18

D

Definiteness
all essential terms are in the offer.14

E

express contract
one in which the terms are spelled out directly.....7

I

implied contract
one that is inferred from the actions of the parties .. 8

O

Offer
The manifestation of a party's willingness to enter
into a bargain, making another party justified in
understanding that acceptance will conclude the
bargain.....12

P

Promissory Estoppel
An equitable doctrine that enforces a promise made
without consideration when one party reasonably
relies on that promise to their detriment. 9

Q

quasi-contract
an obligation imposed by law..... 8

R

Revocation
to terminate.....16

U

Unilateral Contract
A contract in which one party makes a promise that
the other party can accept only by performing an
action.10

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